

## **Unit 10**

# **Investment Strategy**

# **Unit 10: Investment Strategy**

**Investment foundations**

**Asset categories**

**Financial leverage**

**Borrowing to invest**

**Longevity and sequencing risk**

**Risk profile**

**Asset allocation**

**Investment tips**

**Financial and investment strategy**

# **General Advice Warning**

**The content of this Unit is not personal financial advice for you**

**It covers general principles**

**... taught as part of university course based on the Australian system.**

**It does not take into account your situation, objectives or needs.**

**You are responsible to consider whether it is suitable**

**... for your personal circumstances.**

**You should consider obtaining financial and tax advice yourself.**

# **Discussion**

**We are now on the final Unit of this course.**

**We have covered shares (Unit 9) and property (Unit 5).**

**We have discussed financial independence (Unit 3).**

**What are your current ideas for your long-term investment strategy?**

**What will you focus on in your 30s, 40s and 50s?**

# **Investment Foundations**

# **What do I mean by ‘money’ and ‘happiness’?**

**‘Money’ is deliberately ambiguous**

**... could be income, profit (saving), assets or equity (wealth)**

**Not really the emotional state of ‘pleasure’ (hedonia)**

**... more a sense of engagement, meaning or ‘life-satisfaction’ (eudaimonia)**

**Hedonia is like the hot flame of a camp fire**

**... eudaimonia is like hot coals that are better for cooking!**

The terms hedonia and eudaimonia are from Aristotle (4th century BC) Nicomachean Ethics (pronounced nee-kuh-muh-kean).  
Eudaimonia is pronounced as you-die-monea

# Maslow's Hierarchy of Needs



Alan Maslow (1943), 'A Theory of Human Motivation', *Psychological Review*.

Diagram from <https://www.simplypsychology.org/maslow.html>

# Who should be happiest assuming ...

1. They are equally happy with all 'non-money' aspects of their lives
2. Money is good
3. More is better



**John**

Now

**\$20,000**



**Anna**

**\$100,000**



**David**

**\$500,000**



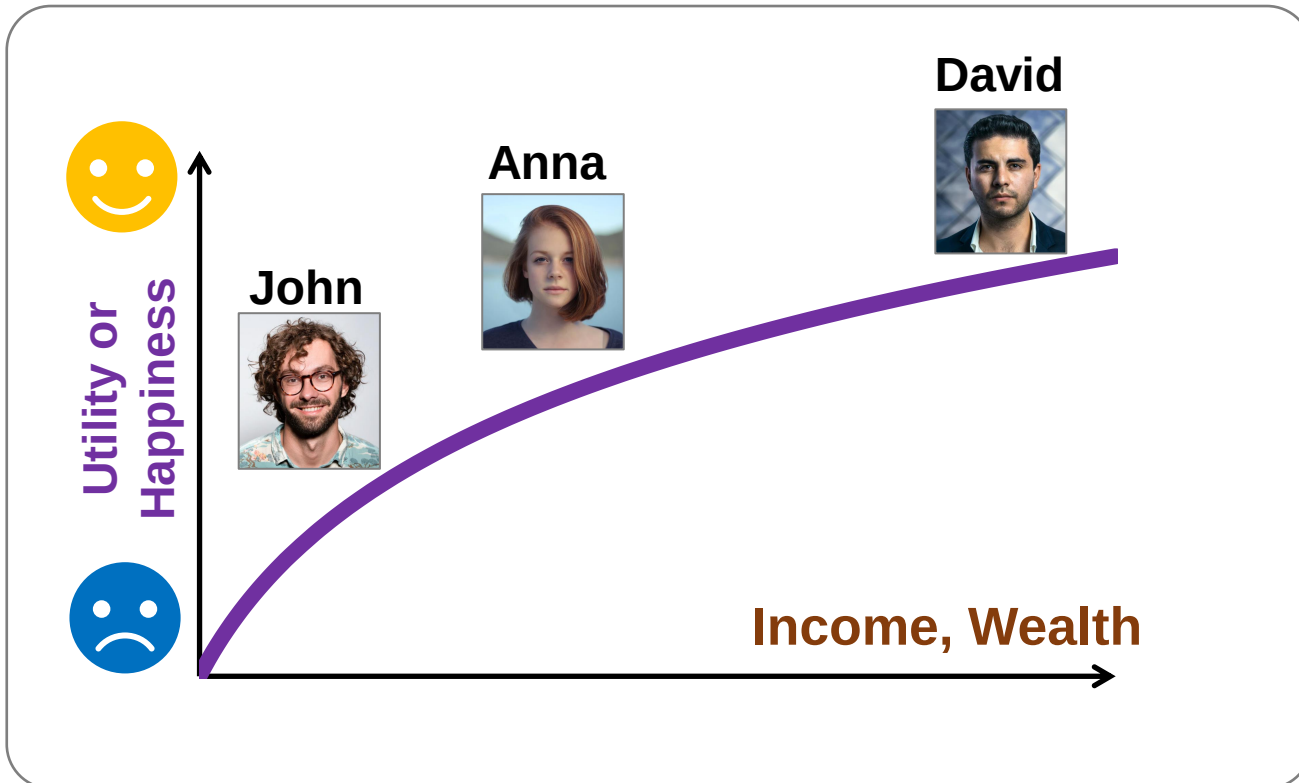


# Utility theory

More money allows you to satisfy more needs (utility)

But each dollar gives less happiness than last one

This is called 'diminishing marginal utility'



Utilitarianism and Utility Theory was developed by Jeremy Bentham (1789) and John Mill (1861) amongst others Ed Diener, Ed Sandvik, Larry Seidlitz and Marissa Diener (1993), 'The relationship between income and subjective well-being: Relative or absolute?' *Social Indicators Research*.

# Who should be happiest assuming ...

1. They are equally happy with all 'non-money' aspects of their lives
2. Money is good
3. More is better



**John**

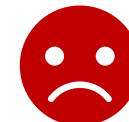


**Anna**



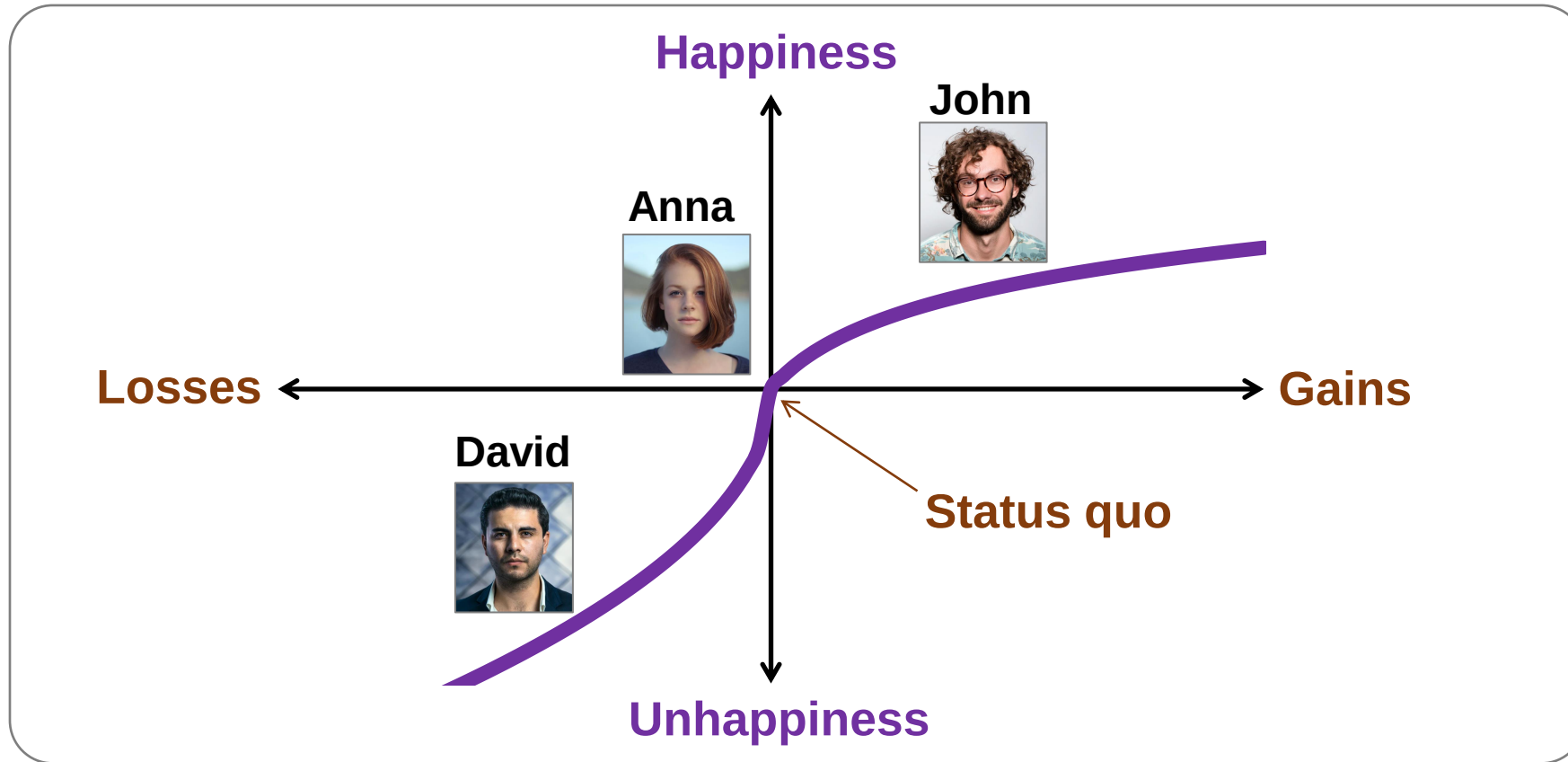
**David**

|            |          |           |             |
|------------|----------|-----------|-------------|
| Now        | \$20,000 | \$100,000 | \$500,000   |
| 1 year ago | \$10,000 | \$100,000 | \$1,000,000 |



# Prospect Theory

Gains and losses against a perceived 'status-quo' are what matter



Daniel Kahneman and Amos Tversky (1979), 'Prospect theory: An analysis of decision under risk', *Econometrica*  
Daniel Kahneman was awarded the Nobel Prize in Economics in 2002 (Amos died in 1996 unfortunately)

# **We are all hamsters on a hedonic treadmill**

Ed Diener, Richard Lucas and Christie Napa Scollon (2009), 'Beyond the Hedonic Treadmill: Revising the Adaptation Theory of Well-Being' in *The Science of Well-Being*.

# **Define your own values and goals**

**Focus on achieving intrinsic goals consistent with your own values**

**... rather than extrinsic approval from others or financial success**

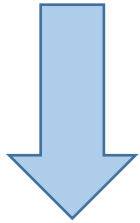
**... especially for ‘achieving money worshipers’**

Robert Emmons (1999). The psychology of ultimate concerns: Motivation and spirituality in personality.

Tim Kasser and Richard Ryan (2001), ‘Be Careful What You Wish For: Optimal Functioning and the Relative Attainment of Intrinsic and Extrinsic Goals’, in Life Goals and Well-Being: Towards a Positive Psychology of Human Striving.

# What are values, principles and purpose?

## Values

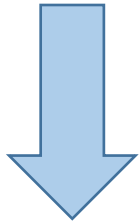


**A quality or standard of behaviour that tell us what is ‘good’**

Expressed in general terms and focusses on what we value

Often expressed in one or two words, such as “thriftiness” or “honesty”

## Principles



**A specific rule governing behaviour that tell us what is ‘right’**

Specific and applied statements outlining how we may (or may not) achieve our values

Often expressed in statements as “I’ll never ...” or “I’ll always ...”

## Purpose

**Provides our reason for being**

It explains why our values and principles are important

The Ethics Centre UNSW (2020), ‘Purpose, Values, Principles – An Ethics Framework’ on Youtube (Video)

The Ethics Centre UNSW (2019), ‘Why purpose, values, principles matter’ on [ethics.org.au](https://ethics.org.au)

Simon Longstaff, Katherine Hunt and Carolyn Tate (2020), Everyday Ethics for Financial Advisers

# Schwartz theory of basic values

## 1. Universalism

Protect environment, unity with nature, social justice, wisdom, equality, inner harmony

## 2. Tradition

Devout, accept portion in life, humble, moderate, respect for tradition, detachment

## 3. Conformity

Politeness, honouring parents and elders, obedient, self-disciplined

## 4. Achievement

Successful, capable, ambitious, influential, intelligent, self-respectful

## 5. Stimulation

Daring, an exciting life, a varied life

Shalom Schwartz (1992), 'Universals in the Content and Structure of Values: Theory and Empirical Tests in 20 Countries' in *Advances in Experimental Psychology* and Jasper Kenter et al., (2015), 'What are shared and social values of ecosystems', *Ecological Economics*.

# Schwartz theory of basic values

## 6. Benevolence

Helpful, honest, forgiving, loyal, responsible, friendship, spiritual, mature love, meaningful life

## 7. Security

Clean, national security, social order, family security, reciprocation of favours, healthy, belonging

## 8. Self-direction

Creativity, curious, freedom, choosing own goals, independent

## 9. Power

Social power, authority, wealth, preserving public image, social recognition

## 10. Hedonism

Pleasure, enjoying life

Shalom Schwartz (1992), 'Universals in the Content and Structure of Values: Theory and Empirical Tests in 20 Countries' in *Advances in Experimental Psychology* and Jasper Kenter et al., (2015), 'What are shared and social values of ecosystems', *Ecological Economics*.



# **What is Financial Independence?**

**A situation in which the income you are drawing from your investments is enough to cover your living expenses ... indefinitely!**

**This means that you no longer need to do paid work**

**... freeing you up to do unpaid voluntary work**

**... or paid work that aligns with your values**

**... and spend a bit more time on leisure in relationship with others!**

# **FIRE**

**FINANCIAL INDEPENDENCE RETIRE EARLY**

# Variations on FIRE

## 1. Fat FIRE

More traditional lifestyle who saves more than the average retirement investor

## 2. Lean FIRE

Minimalist living and extreme savings with a far more restricted lifestyle

## 3. Barista FIRE

Work casual job to cover some living expenses (so they don't erode investments too much)

## 4. Coast FIRE

Work part-time job but have enough saved to fund their current living expenses

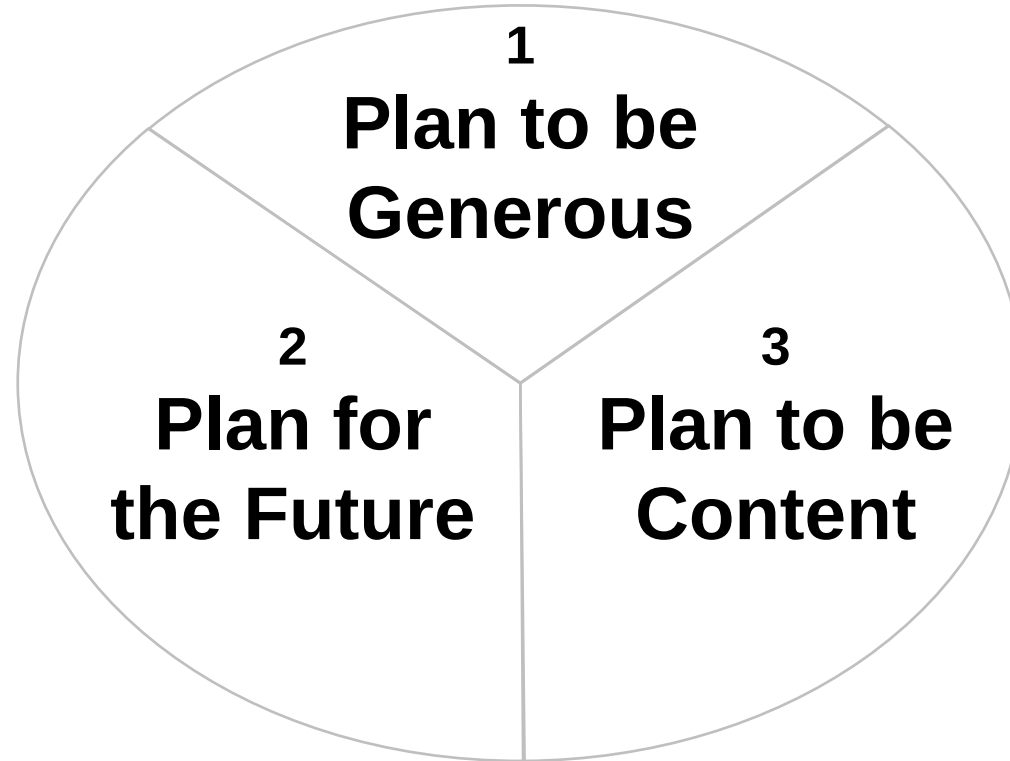
Steven Kurutz (2018), 'How to Retire in Your 30s With \$1 Million in the Bank', *The New York Times*.

Alexandra Kerr (2020), 'Financial Independence, Retire Early (FIRE)' on Investopedia (website)

# The Pie and Financial Independence

Your **pie** is your  
**total income**  
each month

and what you do with it!



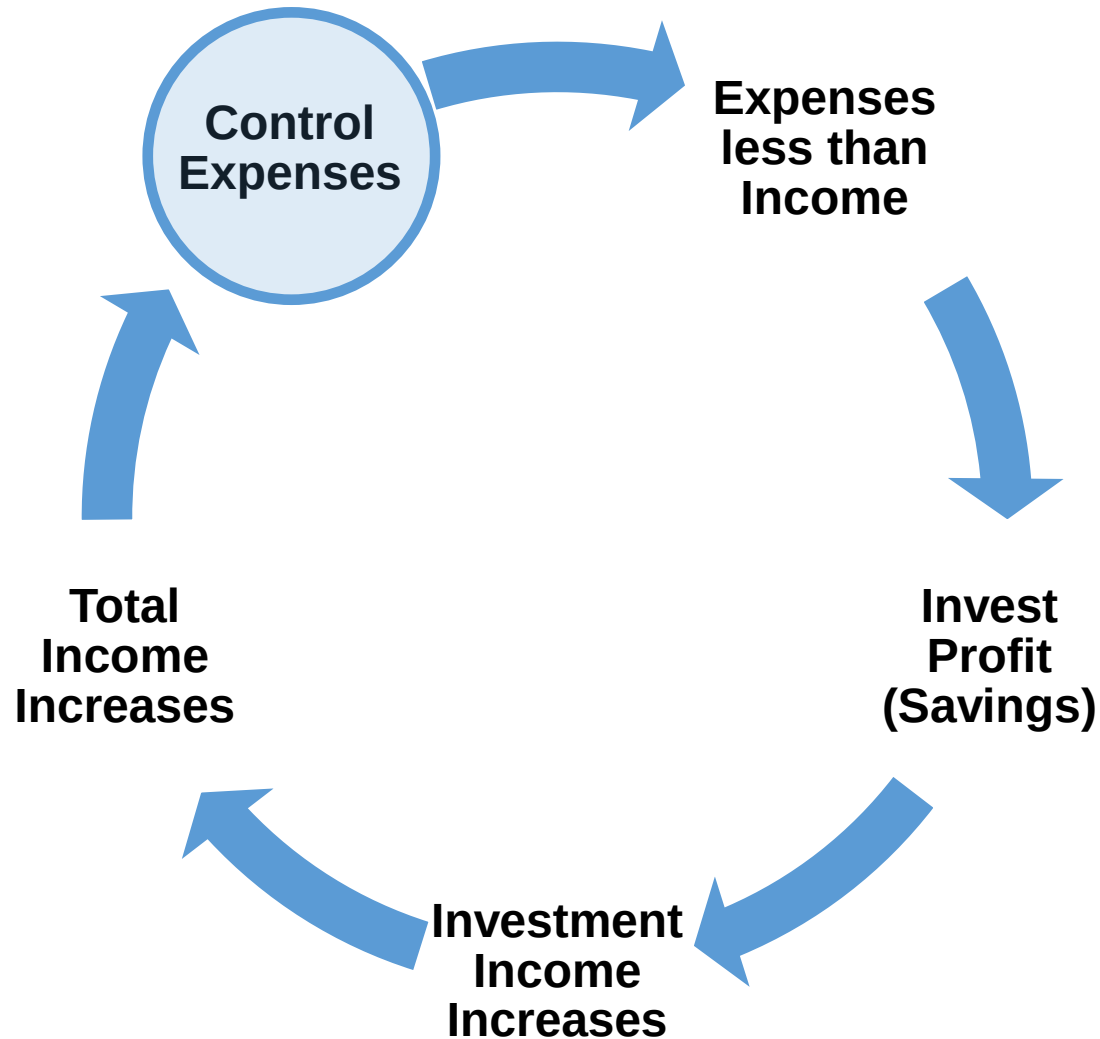
**Investment income covers all three**

# **The Snowball is your Investment Assets**

**... that generate cash flow.**

**Savings Accounts, Term Deposits, Shares and Investment Properties**

# Controlling expenses gets your snowball going!



**For most people**  
**Income = Expenses**  
**... so no savings!**

# **3 Key Principles**

- 1. Consistently 'save to invest' at least 20% of your income (before-tax)**
- 2. Avoid dumb investment decisions**
- 3. Diversify across multiple financial strategies**

# **Asset Categories**



# Asset categories

| Asset category          | Asset category                            |                                                                                                      |
|-------------------------|-------------------------------------------|------------------------------------------------------------------------------------------------------|
| 1. Cash                 | Transaction, Savings Account or CMT       | <b>Lower risk</b><br><b>Short time-horizon</b><br><br><b>Higher risk</b><br><b>Long time-horizon</b> |
| 2. Fixed Interest       | Term deposits, debentures or bonds        |                                                                                                      |
| 3. Residential Property | Apartment, townhouse, duplex or house     |                                                                                                      |
| 4. Commercial Property  | Shop, office, Listed Property Trust (LPT) |                                                                                                      |
| 5. Australian Shares    | Australian Exchange Traded Fund (ETF)     |                                                                                                      |
| 6. International Shares | Global Exchange Traded Fund (ETF)         |                                                                                                      |

**Cryptocurrency (bitcoin), commodities (gold) and foreign exchange are speculative investments**

CMT is a Cash Management Trust. These are offered by investment banks such as Macquarie Bank and are popular with financial advisers  
A 'speculative investment' is a euphemism for 'gambling'. This is because they generate no cash flows. More on this in Units 9 and 10.

# Asset categories

| Asset category          | Asset category                            | Time horizon |
|-------------------------|-------------------------------------------|--------------|
| 1. Cash                 | Transaction, Savings Account or CMT       | 0 – 1 years  |
| 2. Fixed Interest       | Term deposits, debentures or bonds        | 1 – 5 years  |
| 3. Residential Property | Apartment, townhouse, duplex or house     | 5+ years     |
| 4. Commercial Property  | Shop, office, Listed Property Trust (LPT) | 5+ years     |
| 5. Australian Shares    | Australian Exchange Traded Fund (ETF)     | 5+ years     |
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# Asset categories – income v growth

| Asset category          | Asset category                            | Time horizon |        |
|-------------------------|-------------------------------------------|--------------|--------|
| 1. Cash                 | Transaction, Savings Account or CMT       | 0 – 1 years  | INCOME |
| 2. Fixed Interest       | Term deposits, debentures or bonds        | 1 – 5 years  |        |
| 3. Residential Property | Apartment, townhouse, duplex or house     | 5+ years     | GROWTH |
| 4. Commercial Property  | Shop, office, Listed Property Trust (LPT) | 5+ years     |        |
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# Asset categories – income v growth

|    | Asset category       | Price gains |   | Income |   | Nominal return |        |
|----|----------------------|-------------|---|--------|---|----------------|--------|
| 1. | Cash                 | 0.0%        | + | 3.0%   | = | 3.0%           | INCOME |
| 2. | Fixed Interest       | 0.0%        | + | 4.0%   | = | 4.0%           |        |
| 3. | Residential Property | 5.0%        | + | 2.5%   | = | 7.5%           | GROWTH |
| 4. | Commercial Property  | 5.0%        | + | 3.5%   | = | 8.5%           |        |
| 5. | Australian Shares    | 5.0%        | + | 3.5%   | = | 8.5%           |        |
| 6. | International Shares | 6.5%        | + | 2.0%   | = | 8.5%           |        |

# Asset categories – income v growth

| Asset category          | Real return |   | Inflation |   | Nominal return |        |
|-------------------------|-------------|---|-----------|---|----------------|--------|
| 1. Cash                 | 0.5%        | + | 2.5%      | = | 3.0%           | INCOME |
| 2. Fixed Interest       | 1.5%        | + | 2.5%      | = | 4.0%           |        |
| 3. Residential Property | 5.0%        | + | 2.5%      | = | 7.5%           | GROWTH |
| 4. Commercial Property  | 6.0%        | + | 2.5%      | = | 8.5%           |        |
| 5. Australian Shares    | 6.0%        | + | 2.5%      | = | 8.5%           |        |
| 6. International Shares | 6.0%        | + | 2.5%      | = | 8.5%           |        |

# Asset categories – income v growth

## Growth

Property and shares

Price gains + income

Higher expected return and risk

Investment time horizon 5+ years

Accumulation phase

## Income

Cash and fixed interest

Usually income only

Lower expected return and risk

Investment time horizon 0 - 5 years

Retirement income phase

# Cash

## Examples

High interest savings accounts, short-term term deposits, cash management trusts (CMT)

## Key features

Low risk, low expected return, high liquidity, high tax

## Investment time horizon

Less than one year

## What to invest in cash?

Cash buffer and some financial slack

# Cash is also ...

Once you have a home or investment loan with variable interest rate

**... you also get a mortgage offset account and redraw facility**

Mortgage offset is a transaction account ... with balance treated as principal reduction

Redraw facility allows early loan repayments ... but you still have access to funds

**These are basically a 'very high-interest' low-risk cash investment**

Each dollar saves you paying interest on your loan

... so the 'effective interest rate' is the interest rate of your loan

The 'effective interest' is tax-free because it was never paid to you

The level of risk is low (uncertainty with variable interest rate)

The funds are still highly liquid (usually 24 hours or less)



# Fixed Interest

## Examples

Term deposits (greater than 1 year), government bonds, corporate bonds and debentures

## Key features

Low risk, low expected return (but higher than cash), liquidity varies, high tax.

## Investment time horizon

1 to 5 years

## What to invest in fixed interest?

Some of your financial slack

Funds that you may need access to within 1 to 5 year time horizon

... such as a deposit on a home loan (for a traditional financial strategy)

Living expenses for next five years if you are in retirement phase

# Residential Property

## Examples

Home (apartment, town house, house ...) or investment property

## Key features

Moderately-high expected returns, moderate risk, CGT main-resident exemption  
cheap financial leverage (borrow to invest), high fees, very low liquidity, non-divisibility.

## Investment time horizon

5+ years

## Why invest in residential property?

Long-term control over living expenses

Cheap financial leverage

Forced saving and long-term tax-effective wealth creation

# Commercial Property

## Examples

Shop, office space, warehouse or Listed Property Trust (LPT)

## Key features

High expected returns, moderate risk, higher income yields than residential property,  
Relatively cheap financial leverage (borrow to invest), varying fees, varying liquidity

## Investment time horizon

5+ years

## Why invest in commercial property?

Diversification (when purchased on stock exchange using LPT)

Higher income yields than residential property

Small business 'savings' and 'wealth creation' strategy

# **Beware!**

**Beware of lending to commercial property companies**

via debentures or unsecured notes

**They often have nice and ‘stable’ sounding names**

**Advertise in popular newspapers and media**

**‘Promise’ a high return ... that is guaranteed\***

**These property companies usually have a lot of debt on balance sheet**

**... when the property market turns and asset prices fall**

**... equity quickly drops to zero and investors almost everything!**

\* You are a sucker if you believe the guarantee because it will usually be worthless if the company goes bankrupt!

# Australian Shares

## Examples

BHP Billiton, Westpac Bank, Qantas or Exchange Traded Fund that tracks ASX200 (STW)

## Key features

Income + growth in price over long-term, liquidity and tax efficient

## Investment time horizon

5+ years

## Why invest in Australian shares?

Long-term growth in prices linked to inflation and real economic growth

Income from dividends is tax-effective

Capital gains can be deferred indefinitely if you avoid selling

Diversification reduces risk

# International Shares

## Examples

Amazon, Google, Tesla, Tencent ... or Exchange Traded Funds that track indices

## Key features

Lower income but higher expected growth, less tax efficient, additional FOREX risk

## Investment time horizon

5+ years

## Why invest in International shares?

Diversify across other world economies

ASX200 has a greater focus on mining, financials and property

... and not enough exposure to tech, pharma and industrials

# Relatively Mainstream

## 1. Hybrid securities

Convertible notes, preference shares

## 2. Energy assets

Power stations, wind farms, oil and gas

## 3. Infrastructure

Motorways, airports, railways

## 4. Hedge funds

Speculation, low correlation

## 5. Private equity

Leveraged buyouts, management buyouts

## 6. Venture capital

Start-ups in tech, medicine, finance ...

# **Non-Mainstream Investment**

## **Cryptocurrencies (Bitcoin)**

Limited 'value in use' and generate no cash flows

## **Commodities (Gold or Oil)**

Driven by demand and supply, cost of extraction and strategic interactions

## **Foreign exchange (USD)**

Driven by interest rate expectations, inflation expectations, trade and financial flows

## **Social and Copy Trading Platforms (eToro)**

Encourage short-term speculation (gambling)

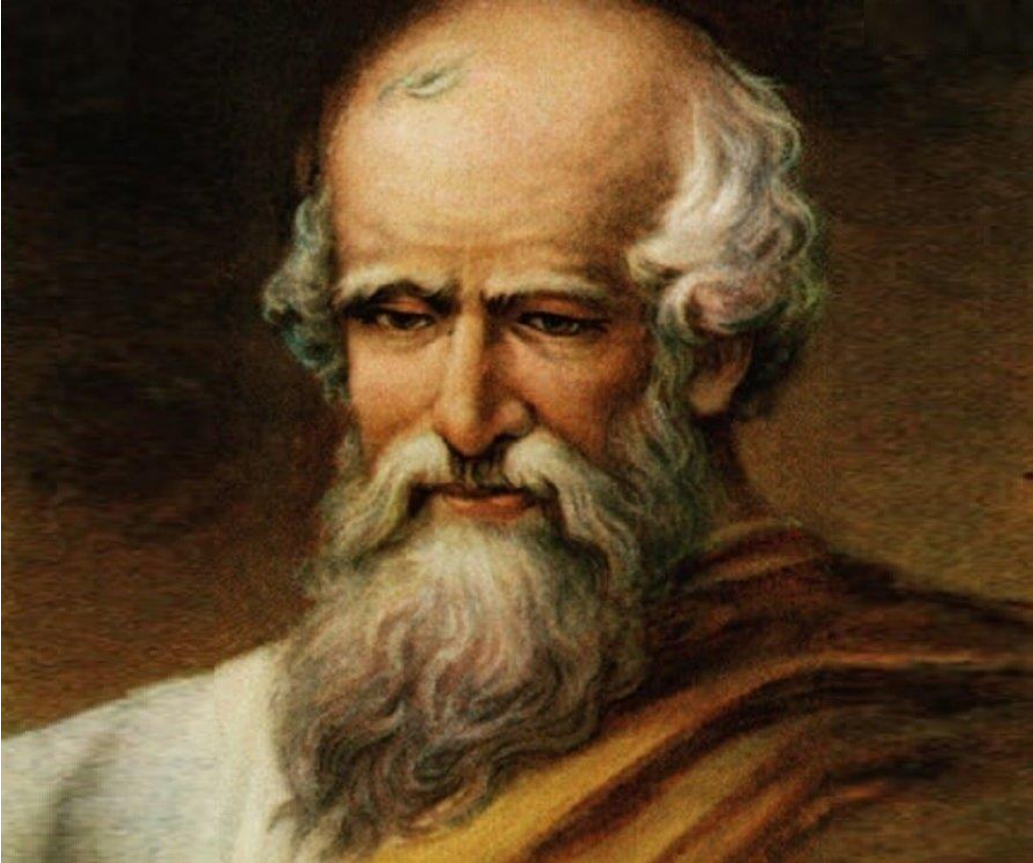
## **Contracts for Difference (CFD)**

Unsophisticated way to engage in financial leverage for speculators (gamblers)



# **Financial Leverage**

# Archimedes



Famous mathematician and inventor  
in ancient Greece (3<sup>rd</sup> century B.C.)

**“Give me a lever long enough  
and a fulcrum on which to place it  
and I shall move the world!”**



# Two types of leverage

## 1. Operating leverage

High fixed operating (living) expenses in proportion to total expenses increases risk

## 2. Financial leverage

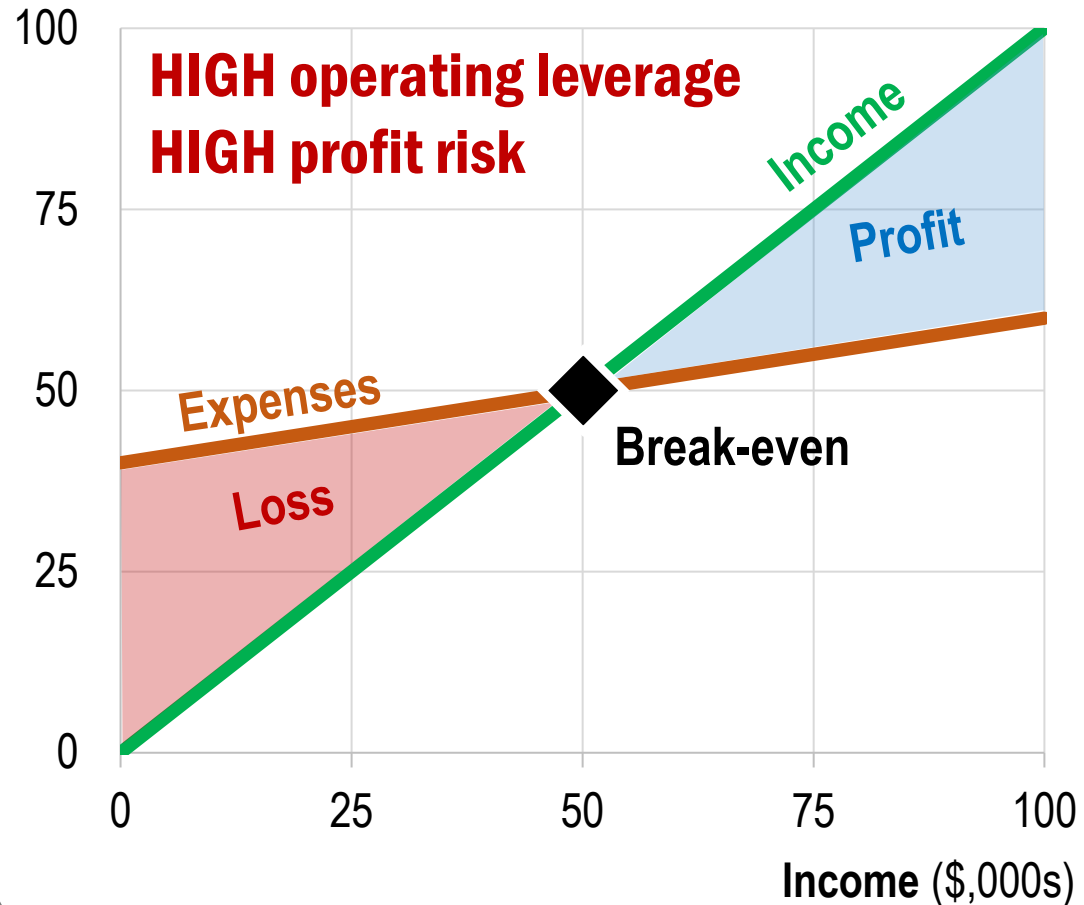
High fixed interest expenses in proportion to total expenses increases risk (income leverage)

High levels of debt in proportion to total assets increases equity risk (capital leverage)

# Operating Leverage and Risk Visualised

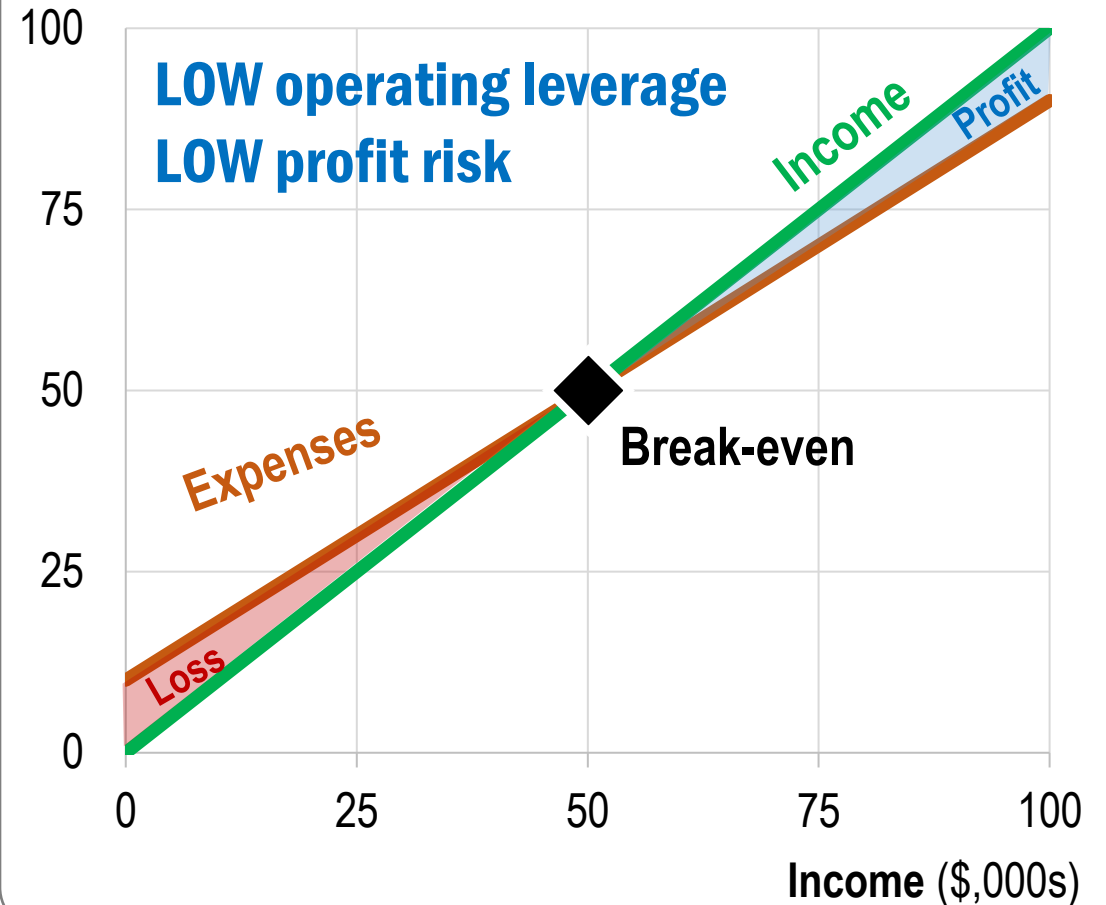
## Fixed Fred

Expenses, Income (\$,000s)



## Flexible Fiona

Expenses, Income (\$,000s)



# Operating Leverage and Risk Calculations

## Fixed Fred

$$\text{Expenses} = 40,000 + 0.2 \times \text{Income}$$

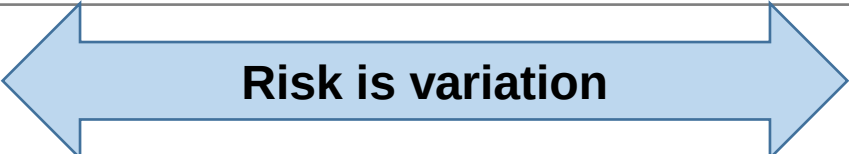
$$\text{Profit} = 0.8 \times \text{Income} - 40,000$$

## Flexible Fiona

$$\text{Expenses} = 10,000 + 0.8 \times \text{Income}$$

$$\text{Profit} = 0.2 \times \text{Income} - 10,000$$

|                         | Income             |          |           |                         |
|-------------------------|--------------------|----------|-----------|-------------------------|
|                         | \$0                | \$50,000 | \$100,000 |                         |
| Fixed Fred's Profit     | - 40,000           | 0        | + 40,000  | High Operating Leverage |
|                         | \$80,000 variation |          |           |                         |
| Flexible Fiona's Profit | - 10,000           | 0        | + 10,000  | Low Operating Leverage  |
|                         | \$20,000 variation |          |           |                         |



Risk is variation

# Financial Leverage Example

Two investors would like to buy a property for \$1,000:

Ursa has \$1,000 cash and will not borrow anything (unlevered)

Liam has \$500 cash and will borrow \$500 at 5% per annum (levered)

Assume no taxes or transaction costs

Each investor plans to buy the property then flip (sell) it in 1 year.

What is return on equity for the following scenarios:

1. Total return on the asset (property) is 0%?
2. Total return on the asset (property) is 10%?

# Financial Leverage and Risk Calculations

|                         |              |               |
|-------------------------|--------------|---------------|
| Return on asset         | $r_A = 0\%$  | $r_A = 10\%$  |
| Ursa's return on equity | $r_E = 0\%$  | $r_E = +10\%$ |
| Liam's return on equity | $r_E = -5\%$ | $r_E = +15\%$ |

## Return on asset

0%      5%      10%

|                              |             |           |              |                                |
|------------------------------|-------------|-----------|--------------|--------------------------------|
| <b>Liam return on equity</b> | <b>- 5%</b> | <b>5%</b> | <b>+ 15%</b> | <b>High Financial Leverage</b> |
| <b>Ursa return on equity</b> | <b>- 0%</b> | <b>5%</b> | <b>+ 10%</b> | <b>Low Financial Leverage</b>  |

20% variation

10% variation

Risk is variation

# Financial Leverage and Investments

## 1. **Your first home**

with a home loan

## 2. **An investment property**

with an property investment loan

## 3. **Your brain (via education)**

with a student loan (HECS or FEE-HELP)

## 4. **A diversified portfolio of shares**

with a margin loan (secured by shares)  
or an investment loan (secured by property)



# **For whom is financial leverage appropriate?**

**Anyone who wants to buy a home**

**Low risk with your personal income**

**Long-term investment time horizon (10+ years)**

**Maintain an adequate 'cash buffer'**

**Able to avoid dumb investment decisions (behavioural risk)**

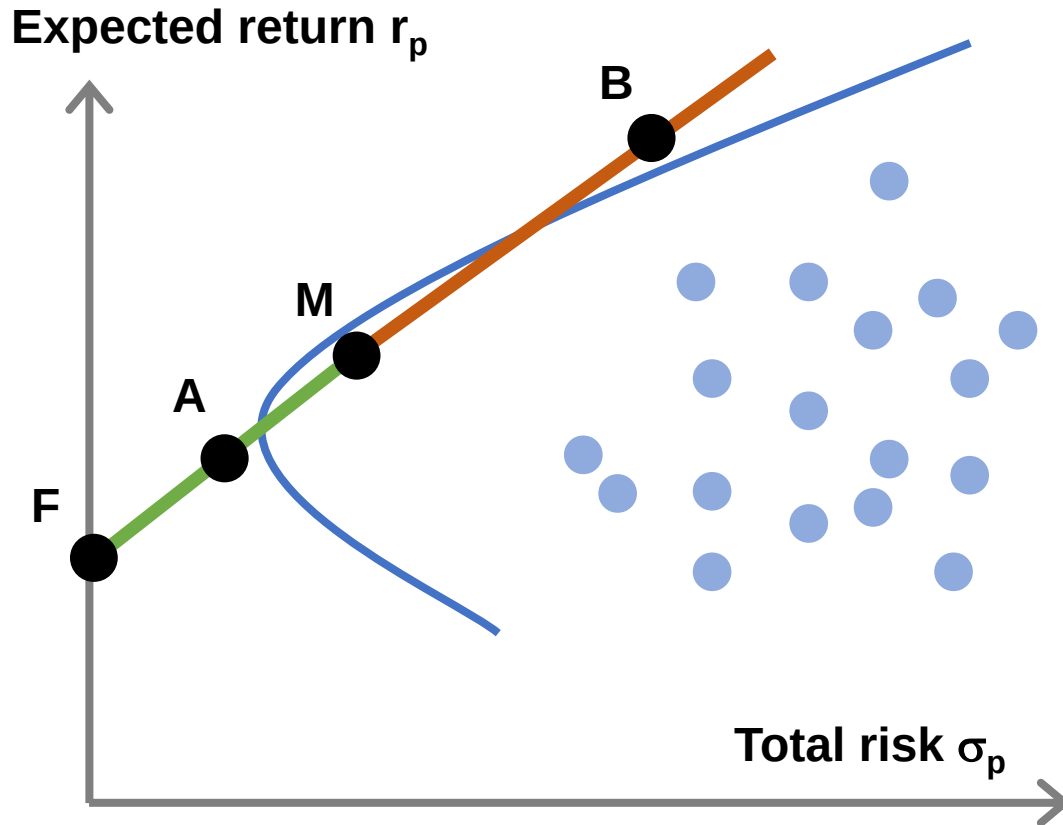
High levels of self-control to avoid speculation

**Higher personal income tax rate bracket**

**Investors who would like to achieve above average returns**

**... without resorting to speculation**

# If you are willing to borrow to invest ...



Investing equity of \$100

**F** \$100 in Fixed Interest

**M** \$100 in Growth Assets

**A** \$50 in Fixed Interest  
\$50 in Growth Assets

**B** Borrow \$100 at Fixed rate  
Invest \$200 in Growth Assets

The technical name for this line is the 'Capital Market Line'

# Positive v negative gearing

## Tax implications of financial leveraged investment

### Positive gearing

Assessable income (rent or dividends) > Allowable deductions (interest and costs)

Increases personal income tax

### Negative gearing

Assessable income (rent or dividends) < Allowable deductions (interest and costs)

Decreases personal income tax

### Warning

Too many people focus on tax implications of investment  
... and end up choosing dumb investments!

# **Positive v negative cash flow**

## **Cash flow implications of financial leveraged investment**

### **Positive cash flow**

Cash inflow (rent or dividends) > Cash outflow (interest and costs)

Increases cash flow (your pie) and flexibility

### **Negative cash flow**

Cash inflow (rent or dividends) < Cash outflow (interest and costs)

Decreases cash flow (your pie) and flexibility

## **Not necessarily same as positive or negative gearing**

**... due to depreciation and other non-cash expenses (accrued interest)**

**A nice situation can be negatively geared but positive cash flow!**

# **Borrowing to Invest**

# Financial Leverage and Investments

## 1. **Your first home**

with a home loan

## 2. **An investment property**

with a property investment loan

## 3. **Your brain (via education)**

with a student loan (HECS or FEE-HELP)

## 4. **A diversified portfolio of shares**

with a margin loan (secured by shares)  
or an investment loan (secured by property)

# **Best to leverage with ...**

**Investment loan using property as collateral. Why?**

- 1. Low interest rates (compared to other loans)**
- 2. No margin calls (more on this later)**
- 3. Banks prefer property as collateral**
- 4. Easy to obtain if you have paid off some of the mortgage and property has gone up in value**

But if investments fall in value sharply and you cannot make loan repayments  
... then you could lose your house!

# What if you don't have property?

You want to borrow to invest in shares but don't have property?

Use CFDs, Futures or derivatives? **NO!**

Consider using a margin loan

... but **be conservative** please!



# What is a Margin Loan?

Different from an investment loan that has property as collateral. Why?

1. Uses the shares as collateral on the loan
2. Offered by banks through stockbrokers (such as Commsec)
3. Higher interest rates than property loans
4. Subject to a 'margin call' if the shares drop sharply in value
5. **Flexible payment options such as 'capitalising interest'**  
Interest just gets added to principal outstanding on the loan and isn't paid
6. Can be very easy to obtain if you have a good income

# **Capitalising Interest**

**You are charged interest on the margin loan**

**... but they just add it onto the principal outstanding of the loan**

**... so that it doesn't affect your 'net cash flow'**

**If price gains > margin loan interest then LVR will fall over time**

**The interest is still an allowable deduction for tax purposes**

**... so investment can be negatively geared (reduces tax)**

**... but positive cash flow from the dividends (increases cash)**

# What is an LVR?

Loan to value ratio

$$\text{LVR} = \frac{\text{Debt}}{\text{Assets}} = \frac{\text{Margin Loan}}{\text{Market Value of Shares}}$$

If value of shares is \$100,000 and margin loan is \$50,000 then:

$$\text{LVR} = \frac{\text{Debt}}{\text{Assets}} = \frac{50,000}{100,000} = 0.5 \text{ or } 50\%$$

# A portfolio has three different LVRs

## 1. Current LVR

Margin loan divided by current market value of shares (see last slide)

## 2. Base LVR

The maximum LVR based on the shares in the portfolio

This will depend on the volatility and liquidity of those shares as published in 'Approved List'

For an ETF that tracks the ASX200 index, the standard LVR is 75%

... so you could theoretically invest \$25,000 equity, borrow \$75,000 to buy \$100,000.

## 3. Margin Call LVR

The LVR at which you will receive the dreaded 'margin call' (more on next slide)

This is normally Base LVR + 5%

# **The Dreaded 'Margin Call'**

**You have exceeded the Margin Call LVR because**

**... you borrowed too aggressively and then ...**

- 1. A sharp decline in share prices over a short-period of time (usually)**
- 2. A slow decline in share prices over a long-period of time**
- 3. Flat prices but capitalised interest caused LVR to increase slowly**

**Solution:**

- 1. Use your financial slack to pay down margin loan**
- 2. Sell shares**

Usually bad if they have just fallen in value since it will lock-in the losses

# What is a safe LVR?

**Many diversified ETFs have a base LVR of about 75%**

Which usually means the margin call  $\text{LVR} = 75\% + 5\% = 80\%$

**You need to be able to handle a 50% fall in market values**

Most stock market crashes are about 30% ... the worst are about 50% in developed markets

**If prior to fall in market prices**

Value of investments (assets) = 100,000

Value of margin loan (debt) = 40,000 (LVR = 40%)

**If the assets fall in value by 50%**

Value of investments (assets) = 50,000

Value of margin loan (debt) = 40,000 (LVR = 80%)

Only just on the threshold of a margin call

Any margin call would be minor and you should be able to handle it from financial slack

# LVR robustness

How much can the value of your share portfolio fall by

... based on a starting current LVR if margin call LVR = 80%?

Note that market fell 50% in 2008-09 global financial crisis

| LVR | Market Fall |
|-----|-------------|
| 70% | 12.5%       |
| 60% | 25.0%       |
| 50% | 37.5%       |
| 40% | 50.0%       |
| 30% | 62.5%       |

# **Remember**

**Investments loans (using property) are preferred to margin loans**

**Avoid using Contracts for Difference (CFDs) for financial leverage**

**Positive cash flow is preferred to negative gearing**

**Have you considered the costs of financial distress?**

What if you lose your job for a significant period (in a recession)

How would you meet a significant margin call

**Do you have the self control to avoid speculation?**

Speculation = picking stocks and timing the market

**Are you investing with a very long-term time horizon (10+ years)?**

**Are you familiar with the tax implications?**



# Break

# **Longevity and Sequencing Risk**

# Longevity Risk

Risk that you will outlive your retirement savings:

1. Investing too conservatively ... low returns and slow capital erosion
2. Investing too aggressively ... exposed to fast fall in stock market
3. Relationship breakdown ... asset redistribution and higher expenses

# **Sequencing Risk**

**Risk that the order and timing of investments and returns is unfavourable**

**It is most significant during last 10 years of accumulation phase**

**... and first 10 years of retirement income phase**

**You need to watch out for this between ages 50 and 75**

# Sequencing Risk Example

**Susan is aged 50 and has \$500,000 in superannuation.**

**She is contributing \$20,000 per year**

Let's assume that this is after-contributions tax to keep the numbers simple!

**What will be her super at age 60 assuming 7.5% returns per annum?**

# It depends on the sequencing of returns ...

| Age | Balance          | Saving         | Return      |
|-----|------------------|----------------|-------------|
| 50  | 500,000          |                |             |
| 51  | 557,500          | 20,000         | 7.5%        |
| 52  | 619,313          | 20,000         | 7.5%        |
| 53  | 685,761          | 20,000         | 7.5%        |
| 54  | 757,193          | 20,000         | 7.5%        |
| 55  | 833,982          | 20,000         | 7.5%        |
| 56  | 916,531          | 20,000         | 7.5%        |
| 57  | 1,005,271        | 20,000         | 7.5%        |
| 58  | 1,100,666        | 20,000         | 7.5%        |
| 59  | 1,203,216        | 20,000         | 7.5%        |
| 60  | <b>1,313,458</b> | 20,000         | 7.5%        |
|     |                  | <b>Average</b> | <b>7.5%</b> |

| Age | Balance          | Saving         | Return      |
|-----|------------------|----------------|-------------|
| 50  | 500,000          |                |             |
| 51  | 670,000          | 20,000         | 30%         |
| 52  | 857,500          | 20,000         | 25%         |
| 53  | 1,049,000        | 20,000         | 20%         |
| 54  | 1,226,350        | 20,000         | 15%         |
| 55  | 1,368,985        | 20,000         | 10%         |
| 56  | 1,457,434        | 20,000         | 5%          |
| 57  | 1,477,434        | 20,000         | 0%          |
| 58  | 1,423,563        | 20,000         | -5%         |
| 59  | 1,301,206        | 20,000         | -10%        |
| 60  | <b>1,126,025</b> | 20,000         | -15%        |
|     |                  | <b>Average</b> | <b>7.5%</b> |

| Age | Balance          | Saving         | Return      |
|-----|------------------|----------------|-------------|
| 50  | 500,000          |                |             |
| 51  | 445,000          | 20,000         | -15%        |
| 52  | 420,500          | 20,000         | -10%        |
| 53  | 419,475          | 20,000         | -5%         |
| 54  | 439,475          | 20,000         | 0%          |
| 55  | 481,449          | 20,000         | 5%          |
| 56  | 549,594          | 20,000         | 10%         |
| 57  | 652,033          | 20,000         | 15%         |
| 58  | 802,439          | 20,000         | 20%         |
| 59  | 1,023,049        | 20,000         | 25%         |
| 60  | <b>1,349,964</b> | 20,000         | 30%         |
|     |                  | <b>Average</b> | <b>7.5%</b> |

# **Balancing sequencing and longevity risk**

## **Sequencing Risk**

**Risk of large negative  
returns at the wrong time**

**Lower risk**

## **Longevity Risk**

**Risk of living longer  
than your savings last**

**Higher returns**

# **Sequencing and Longevity Risk Strategies**

- 1. Age Pension may provide a 'cushion' as assets and income fall**
- 2. Accept and adapt ... cut back in living expenses**
- 3. Remember that declining health could mean more frugal lifestyle**
- 4. May be able to obtain some financial help from family (children)**
- 5. Use conservative assumptions when forecasting**
- 6. Diversify and avoid speculation (especially by bored retirees)**
- 7. Invest next year of retirement income in cash**
- 8. Invest next 4 years of retirement income in fixed interest**
- 9. Buy a lifetime annuity if interest rates are high (transfer risk)**



# **Risk Profile**

# **Higher expected returns require higher risk**

**The higher the targeted expected return**

**... the higher the risk**

**... which results in higher volatility in the short-term**

**Can you keep your eyes on the long term goal**

**... when you are experiencing short-term losses?**

**Can you handle the short-term volatility?**

**Can you show self-control and avoid selling in a panic?**

# **Investment Risk Profile Tools**

**Help you to understand how you feel about risk**

**... and how you might behave when experiencing losses**

**Provides guidelines on how to allocate investment funds**

**... amongst major asset categories (cash, fixed interest, shares, property)**

**Risk profile influenced by**

**... values, personality, experiences and education**

# Risk Profile Types

## 1. **Very conservative**

Averse to growth investments and prefer income investments

## 2. **Conservative**

Mostly income investments with small proportion in growth investments

## 3. **Average investor**

Balanced between income and growth investments.

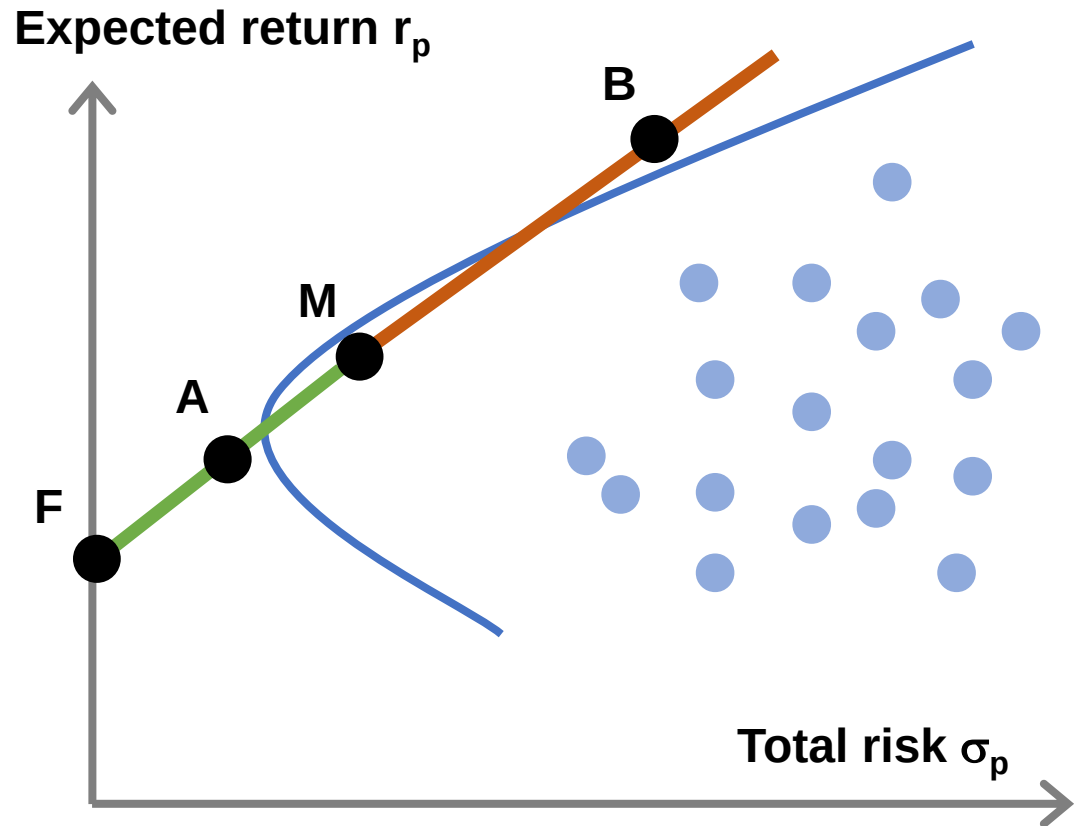
## 4. **Growth investor**

Mostly growth investments

## 5. **Aggressive growth investor**

Mostly growth investments but including some financial leverage

# How much risk can you handle?



- F** Very conservative
- A** Conservative and Average
- M** Growth
- B** Aggressive growth

The technical name for this line is the 'Capital Market Line'

# **Risk Profiling Tools**

**Various organisations provide online assessment tools**

**Riskprofiling.com provide a free sample for students**

There is a delay for up to one day after registration to get access to it

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STUDENT

**RESIDENCY**

AUSTRALIA

**FIRST NAME****LAST NAME****EMAIL**☐ I'm not a robot**SUBMIT**

# **Risk Profile is biased by heightened emotions**

**Happiness makes investors more tolerant to risks**

**Stress and fear makes investors less tolerant to risks**

Stress and fear trigger the release of cortisol that induces 'fight or flight' responses



# **Risk Profile is biased by recent experiences**

**Recent gains will make investors more tolerant to risks**

**Recent losses will make investors less tolerant to risks**

# Risk Profile is biased by current situation



Alan Maslow (1943), 'A Theory of Human Motivation', *Psychological Review*.

Diagram from <https://www.simplypsychology.org/maslow.html>

# Risk Profile is biased by personality

| Extraversion (E)                                                                        | Introversion (I)                                                                                    |
|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Action-oriented, enjoy frequent social interaction and feel energised from other people | Thought-oriented, enjoy deep and meaningful social interactions and recharge by spending time alone |
| Sensing (S)                                                                             | Intuition (N)                                                                                       |
| Pay attention to reality. Focus on facts and details and hands-on experience            | Pay attention to patterns and impressions. Think about possibilities, future and abstract theories  |
| Thinking (T)                                                                            | Feeling (F)                                                                                         |
| Make decisions based on facts and data                                                  | Make decisions based on people and emotions                                                         |
| Judging (J)                                                                             | Perceiving (P)                                                                                      |
| Deal with outside world with structure and firm decisions                               | Deal with outside world by being open, flexible and adaptable                                       |

# **Risk Profiling Pros and Cons**

## **The Good**

**Helps with self-awareness**

**Educates about risk**

**Educates about reactions to risk**

**Identifies differences with couples**

**Assists advisers with compliance**

**... and 'best interest duty'**

## **The Bad**

**Often completed 'too early'**

**... before education has occurred**

**Should not replace discussion**

**Answers can limit investment strategy**

**Can result in 'tick the box' compliance**

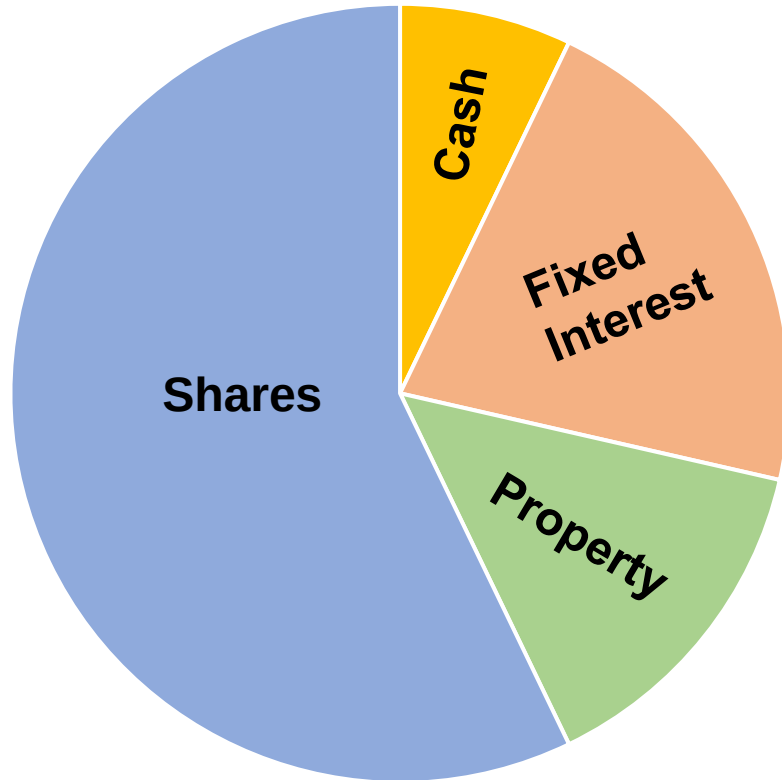
**... and conflict with 'best interest duty'**

# **Asset Allocation**

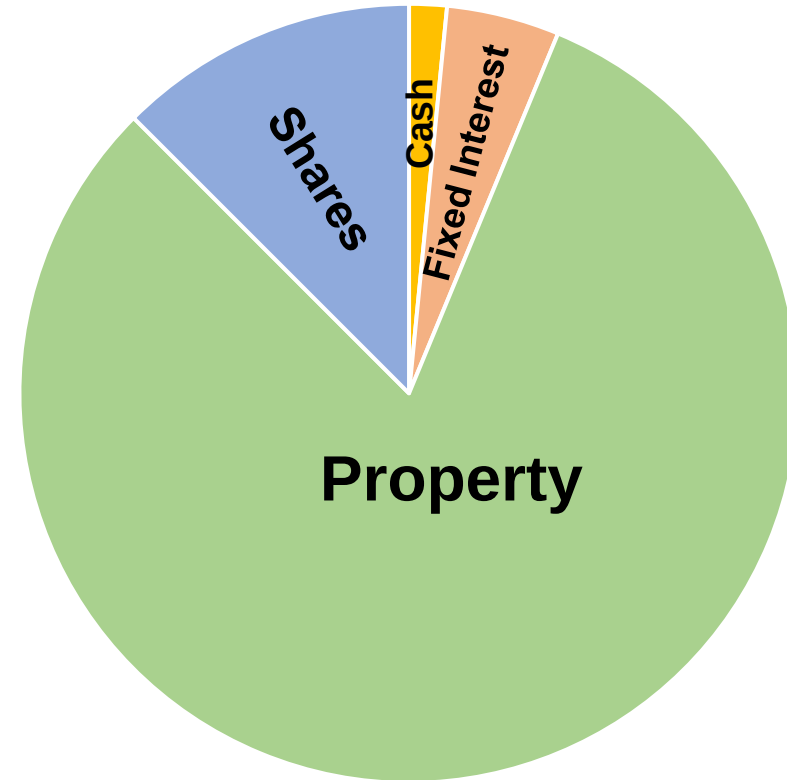
# What is Asset Allocation?

Allocation of investments across asset categories

Excluding home



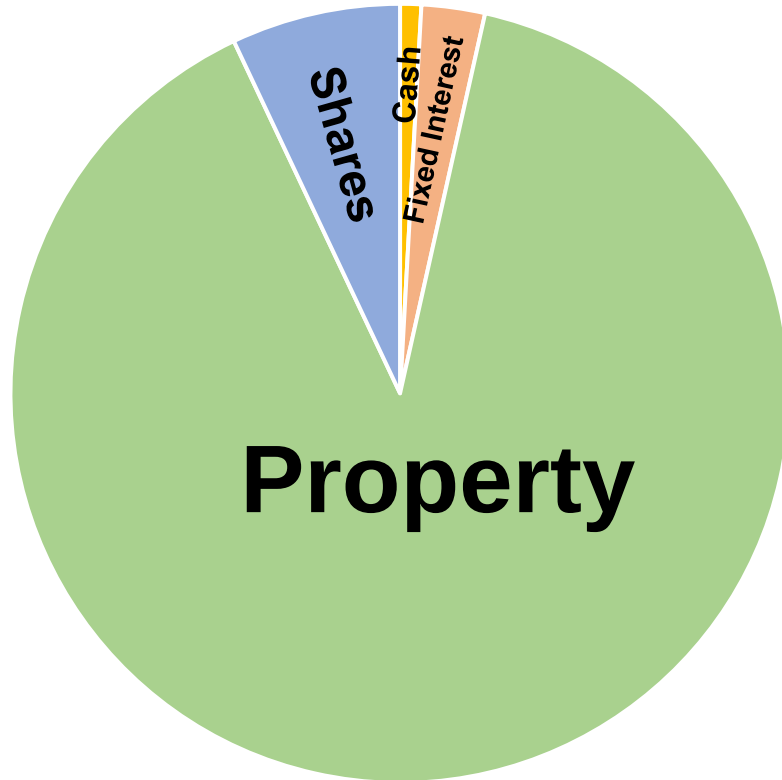
Including home



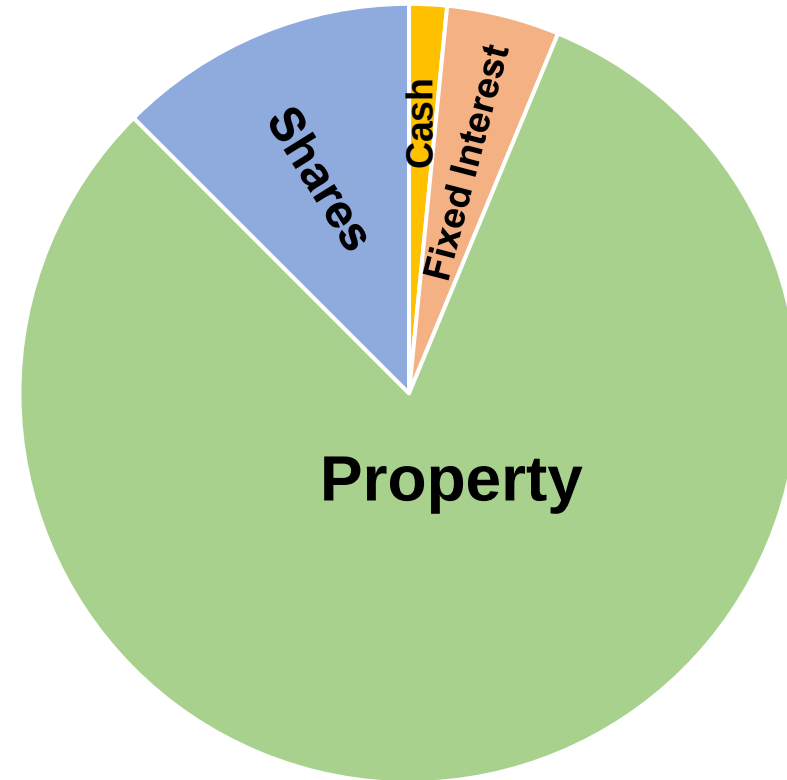
# What is Asset Allocation?

Allocation of investments across asset categories

Including home + investment property



Including home



# **Strategic Asset Allocation (SAA)**

**Decides an appropriate long-term asset allocation**

**Rebalance to the original allocation periodically**

Asset allocation will deviate from target due to different returns of each category

Sell asset categories that have outperformed

Invest the proceeds into categories that have underperformed

**Does not require ability to ‘time the market’**

**Focuses attention on long-term investment strategy**

**Helps to avoid human bias to speculate on short-term ‘opportunities’**



# Types of Asset Allocation

## 1. Strategic Asset Allocation (SAA)

Long-term target allocation with period rebalancing to original allocation

Example: Cash 10%, Fixed Interest 20%, Commercial Property 20%, Shares 50%

## 2. Tactical Asset Allocation (TAA)

Short-term deviations from SAA to profit from mis-pricing in asset categories

Example: You think there is a stock-market bubble so ... Shares -10%, Fixed Interest +10%

## 3. Dynamic Asset Allocation (DAA)

Continual adjustments to long-term target based on asset category performance

Targets are in constant flux

## We will focus on Strategic Asset Allocation

TAA is far too prone to human bias and DAA is for professional fund managers

# UniSuper strategic asset allocations

| Category                        | Conservative | Conservative<br>Balanced | Balanced | Growth    | High Growth |
|---------------------------------|--------------|--------------------------|----------|-----------|-------------|
| Cash & Fixed Interest           | 65%          | 46%                      | 28%      | 14%       | 0%          |
| Property                        | 9%           | 9%                       | 3%       | 3%        | 3%          |
| Infrastructure & Private Equity | 10%          | 9%                       | 11%      | 9%        | 5%          |
| Australian Shares               | 9%           | 19%                      | 28%      | 34%       | 43%         |
| International Shares            | 7%           | 17%                      | 30%      | 40%       | 49%         |
| Expected real returns           | 1% p.a.      | 2% p.a.                  | 3% p.a.  | 3.5% p.a. | 4% p.a.     |

Course 5 to 6%  
(fees and taxes)

# Some things to consider ...

## 1. Investment time horizon

This will be affected by life stage and need for liquidity to fund large cash outflows

## 2. Risk profile

This affects mix of growth v income investments and willingness to take on financial leverage

## 3. Life stage

Younger people can take on more risk as there is more time to fix problems

More mature people need to consider sequencing and longevity risks

## 4. Investment goals

If expected to achieve goals with moderate risk ... why take high risk? Avoid greed!

## 5. Financial literacy and experience

More alternatives are available with higher financial education and experience

# **People with lower financial literacy ...**

- 1. Less likely to plan for retirement**
- 2. Less likely to hold shares**
- 3. More likely to hold undiversified portfolio**
- 4. Less able to estimate the time needed to pay off a credit card balance**
- 5. More likely to incur fees for late payment**
- 6. Exceeding borrowing limits**
- 7. More likely to pay higher interest rate on their mortgage**
- 8. More likely to ignore or misunderstand financial literacy initiatives**
- 9. Less likely to seek advice from a qualified financial adviser**

# Money personality profiles

## 1. Achieving money worshipers

Worship money as their success and budget money carefully

## 2. Careless money admirers

Value financial success but do not budget money carefully

## 3. Apathetic money managers

Money is not evil nor a motivator and have high intrinsic job and life satisfaction

## 4. Money repellent individuals

Consider money to be evil and is not a measure of success

Based on Love of Money Scale (LOMS) and Money Ethic Scale (MES)

Thomas Tang, David Tang and Roberto Luna-Arocas (2005), 'Money profiles: the love of money, attitudes, and needs', *Personnel Review*

# Deciding on your strategic asset allocation

## 1. **Cash buffer is in 'cash'**

Cash buffer is minimum balance in your bank transaction account to pay bills on time

## 2. **Financial slack is in 'cash' and/or 'fixed interest'**

Financial slack is your 'save to spend' and emergency funds

## 3. **Funds 'required' within 5 years in low-risk investments**

Fixed interest (term deposits), low-risk infrastructure or listed property trusts (low leverage)

## 4. **Determine strategic asset allocation for remaining investments**

Consider life-stage, investment objectives, time-horizon, risk-profile and diversification

## 5. **Consider adding financial leverage when appropriate**

Consider higher risk but also higher expected long-term returns, tax advantages

Time-horizon must be 10+ years and you must be self-controlled (human bias)

# Strategic Asset Allocation Example 1a

Damien is aged 28 and is single.

He needs \$5,000 minimum bank balance to pay bills on time

He has set aside \$25,000 to buy a car in 1 year from now

He would like \$10,000 in 'emergency funds' to handle unexpected events

He has no plans to buy a property in the next 5 years

He has \$60,000 saved that can be invested for the long-term (5+ years)

He is not willing to borrow money to augment his investments.

# Strategic Asset Allocation Example 1a

Damien is aged 28 and is single.

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He has \$60,000 saved that can be invested for the long-term (5+ years)

He is not willing to borrow money to augment his investments.

|                                                                        |                 |
|------------------------------------------------------------------------|-----------------|
| Cash buffer is in bank account: Cash = \$5,000                         | (5% of equity)  |
| Funds for car and emergency in term deposit: Fixed Interest = \$35,000 | (35% of equity) |
| Long-term savings into an ETF tracking ASX200: Shares = \$60,000       | (60% of equity) |



# Strategic Asset Allocation Example 1b

Damien is aged 28 and is single.

He needs \$5,000 minimum bank balance to pay bills on time

He has set aside \$25,000 to buy a car in 1 year from now

He would like \$10,000 in 'emergency funds' to handle unexpected events

He has no plans to buy a property in the next 5 years

He has \$60,000 saved that can be invested for the long-term (**10+** years)

He **is** willing to borrow money to augment his investments.

# Strategic Asset Allocation Example 1b

Damien is aged 28 and is single.

He needs \$5,000 minimum bank balance to pay bills on time

He has set aside \$25,000 to buy a car in 1 year from now

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He has \$60,000 saved that can be invested for the long-term (**10+** years)

He **is** willing to borrow money to augment his investments.

|                                                                        |                  |
|------------------------------------------------------------------------|------------------|
| Cash buffer is in bank account: Cash = \$5,000                         | (5% of equity)   |
| Funds for car and emergency in term deposit: Fixed Interest = \$35,000 | (35% of equity)  |
| Borrow \$40,000 using a margin loan (LVR = 40% which is quite low)     | (-40% of equity) |
| Invest \$100,000 into ETF tracking ASX200: Shares = \$100,000          | (100% of equity) |

# **Strategic Asset Allocation Example 2a**

**Julie and Sam are aged 35 and married.**

**They need \$10,000 minimum bank balance to pay bills on time**

**They need \$20,000 set aside for emergency funds**

**They have \$70,000 in savings for a deposit on home to buy in next 3 years**

**Their parents cannot act as guarantors on their home loan**

# Strategic Asset Allocation Example 2a

**Julie and Sam are aged 35 and married.**

**They need \$10,000 minimum bank balance to pay bills on time**

**They need \$20,000 set aside for emergency funds**

**They have \$70,000 in savings for a deposit on home to buy in next 3 years**

**Their parents cannot act as guarantors on their home loan**

Cash buffer is in bank account: Cash = \$10,000 (10%)

Emergency funds and deposit into fixed interest: Fixed Interest = \$90,000 (90%)

# Strategic Asset Allocation Example 2b

Julie and Sam are aged 35 and married.

They need \$10,000 minimum bank balance to pay bills on time

They need \$20,000 set aside for emergency funds

They have \$70,000 in savings for a deposit on home to buy in next 3 years

Their parents can act as guarantors on their home loan

They would like to **diversify** across shares and property over long-term

They are willing to **add financial leverage** to share portfolio

# Strategic Asset Allocation Example 2b

Julie and Sam are aged 35 and married.

They need \$10,000 minimum bank balance to pay bills on time

They need \$20,000 set aside for emergency funds

They have \$70,000 in savings for a deposit on home to buy in next 3 years

Their parents can act as guarantors on their home loan

They would like to diversify across shares and property over long-term

They are willing to **add financial leverage** to share portfolio

|                                                 |                 |
|-------------------------------------------------|-----------------|
| Cash buffer is in bank account: Cash = \$10,000 | (10% of equity) |
|-------------------------------------------------|-----------------|

|                                                              |                 |
|--------------------------------------------------------------|-----------------|
| Emergency funds into term deposit: Fixed Interest = \$20,000 | (20% of equity) |
|--------------------------------------------------------------|-----------------|

|                                                              |                  |
|--------------------------------------------------------------|------------------|
| Borrow \$30,000 using a margin loan (LVR = 30% so quite low) | (-30% of equity) |
|--------------------------------------------------------------|------------------|

|                                                               |                  |
|---------------------------------------------------------------|------------------|
| Invest \$100,000 into ETF tracking ASX200: Shares = \$100,000 | (100% of equity) |
|---------------------------------------------------------------|------------------|

# **Strategic Asset Allocation Example 3a**

**Sue is single and about to retire at age 65**

**She owns her own home and has no plans to sell**

**She has \$1,000,000 in superannuation**

**She plans to draw an income stream of \$50,000 per year**

**She is not experienced with investing and feels nervous about shares**

**How should she invest her superannuation?**

# Strategic Asset Allocation Example 3a

**Sue is single and about to retire at age 65**

**She owns her own home and has no plans to sell**

**She has \$1,000,000 in superannuation**

**She plans to draw an income stream of \$50,000 per year**

**She is not experienced with investing and feels nervous about shares**

**How should she invest her superannuation?**

Next year of income in cash: Cash = \$50,000 (5%)

Next 4 years of income in fixed interest: Fixed Interest = \$200,000 (20%)

Warn here about longevity risk and educate her about growth assets and risk management

Allocate remainder as appropriate for risk profile (balanced) (75%)



# Strategic Asset Allocation Example 3b

Sue is single and about to retire at age 65

She owns her own home and has no plans to sell

She has \$1,000,000 in superannuation

She plans to draw an income stream of \$50,000 per year

She is experienced with investing and is comfortable with shares

How should she invest her superannuation?

# Strategic Asset Allocation Example 3b

Sue is single and about to retire at age 65

She owns her own home and has no plans to sell

She has \$1,000,000 in superannuation

She plans to draw an income stream of \$50,000 per year

She is experienced with investing and is comfortable with shares

**How should she invest her superannuation?**

|                                              |      |
|----------------------------------------------|------|
| Next year of income in cash: Cash = \$50,000 | (5%) |
|----------------------------------------------|------|

|                                                                      |       |
|----------------------------------------------------------------------|-------|
| Next 4 years of income in fixed interest: Fixed Interest = \$200,000 | (20%) |
|----------------------------------------------------------------------|-------|

Discuss goals, risks of shares and educate about sequencing risks

|                                                                   |       |
|-------------------------------------------------------------------|-------|
| Allocate remainder as appropriate for risk profile (growth focus) | (75%) |
|-------------------------------------------------------------------|-------|

# Managing our own irrationality and bias

- 1. Take a broad (not narrow) view of wealth, prospects and objectives**
- 2. Educate yourself on the reasons for long-term financial goal setting**  
... to help overcome a tendency to be attracted to short-term investments
- 3. Be aware of propensity for overconfidence and optimism**  
... and the negatives associated with overconfidence
- 4. Assess whether you have a realistic view of 'the odds' with investments**  
... especially when attracted to a risk venture
- 5. Have a deep understanding of tolerance for risk**

# **FPA Portfolio Construction Process**

- 1. Understanding the client's objectives**
- 2. Understanding the client's risk tolerance**
- 3. Determine the strategic asset allocation (SAA)**
- 4. Testing the appropriateness of the SAA**
- 5. Discuss the trade-offs, implications and alternatives**
- 6. Determining the investment process that suits the client's needs**
- 7. Discuss the investment structure that meets the client's specific circumstances and preferences**
- 8. Recommending specific investments and structures**
- 9. Ongoing reviews**

# **Investment Tips**

# **1. Save to Invest**

**Save at least 20% of your gross income and never plan to spend it**

Note that this amount includes your superannuation contributions

**Kicks of the ‘investment income cycle’**

**The most reliable driver of wealth for your first 20 years**

Investment returns tend to be more important after first 20 years

**Too many people focus on fancy investment strategies**

**... but neglect the basic strategy of just saving and investing over time!**

## **2. Invest in what you understand**

**Sophisticated investors avoid investments they don't understand**

For example, Warren Buffett (founder of Berkshire Hathaway)

**Avoid unnecessary complexity**

**Increase your knowledge over time**

Read good books and avoid 'get rich quick' books or courses

**Understand clearly how the investment generates returns**

**Understand the likely outcomes in possible future scenarios (risks)**

**Understand what events would trigger catastrophic loss**

# **3. Go with mainstream assets**

- 1. Cash (savings accounts)**
- 2. Fixed interest (term deposits or bonds)**
- 3. Residential property (apartment or house)**
- 4. Commercial property (shops, office space, listed property trust)**
- 5. Shares in companies in your own country (via ETF)**
- 6. Shares in companies in other countries (via ETF)**

## **Avoid non-mainstream investments**

Cryptocurrencies (Bitcoin), Foreign Exchange, Commodities ...



# 4. Understand the risks

## 1. Default or catastrophic risk

Chance of losing most or all of your investment (catastrophic loss)

## 2. Total risk (sigma)

Uncertainty or volatility of future returns (standard deviation)

## 3. Systematic risk (beta)

Sensitivity of investment returns to economic risks

**Higher expected return usually requires higher systematic risk**

**Higher total risk is not necessarily a problem**

**... if the investments are good quality, diversified**

**... and you invest for the long term (5+ years)**

# 5. Diversify

## 1. Diversify across quality investments

If you invest in shares ... don't invest in just one company!

## 2. Diversify across mainstream investment categories

Split your investments across cash, fixed interest, property and shares

## 3. Diversify wealth creation strategies

Your ability to generate income, own home, other Investments, retirement savings and own business (but not all and not at the same time)

# **6. Diversify over time**

**For a diversified portfolio of quality investments ...**

**... the returns in one year**

**... are usually unrelated to returns in the next year**

**This reduces total risk over the long-term**

**Returns should converge on the long-term average**

**Also a trick called ‘dollar cost averaging’**

If you are investing a large amount into a high risk investment then you can decrease your total risk by splitting your investment over a few different years.

# **7. Invest based on investment time horizon**

**Investment time horizon is how many years it will be until you need access to your funds to spend or make other investments**

## **Short-term (0 to 1 year)**

Low risk investments to protect the value of the investment

Cash and some secure fixed interest

## **Medium-term (1 to 5 years)**

Moderate risk investments to protect value while achieving a moderate return

Fixed interest and some low risk, diversified commercial property

## **Long-term (5+ years)**

Higher risk investments with higher expected long-term returns

A diversified portfolio of quality shares, commercial and residential property

Use time to reduce total risk ... very bad years balanced out by very good years

# 8. Avoid speculation

**Don't try to 'time the market' or 'pick stocks'**

**This is not investing ... it is gambling**

**Speculators think they are smarter than others (overconfidence bias)**

**... but most lose in the long-term showing they are not smarter**

Transaction fees and behavioural biases

**Focus on building wealth by:**

Save to invest

Diversifying across quality investments

Investing for the long-term

# **9. Build your knowledge and experience**

**Avoid books or courses that focus on:**

Getting rich quick

Making money through speculation, picking stocks or timing the market

**Read general books on personal finance and investment**

**Read specialist books specific mainstream investments**

**Read ‘money’ columns on quality media and websites**

**Avoid anyone trying to ‘sell’ you a system**

**Avoid expensive non-university investment ‘courses’**

**Supplement your knowledge with professional advice**

... but avoid advisers who ‘sell products’ that are not in your best interest

# **10. Take action**

**Sometimes taking no action**

**... is worse than randomly choosing a good investment**

**Many people get 'choice anxiety' ... and do nothing.**

- 1. Start small and invest regularly**
- 2. Stick with quality, diversified mainstream investments**
- 3. Stick with large and trusted financial institutions**
- 4. Don't try to make the 'best' choice ... avoid 'bad' ones**

# **Financial and Investment Strategy**



# What is strategy?

To use a military metaphor

... strategy is how you plan to win the war

To use a sporting metaphor

... it is how you plan to win the game

Using the concept of 'fit' and 'alignment'

... it is achieving optimal 'fit' between you and your environment

Alan Lafley and Roger Martin (2013), *Playing to win: How strategy really works*

Michael Porter (1996), 'What is Strategy?', *Harvard Business Review*

# **What is strategy for personal finance?**

**Achieving your long-term goals**

**in a way that brings life satisfaction to you and the people around you**

**... in a way that is consistent with your values**

# **What is investment strategy?**

**How to achieve your short and long-term financial goals**

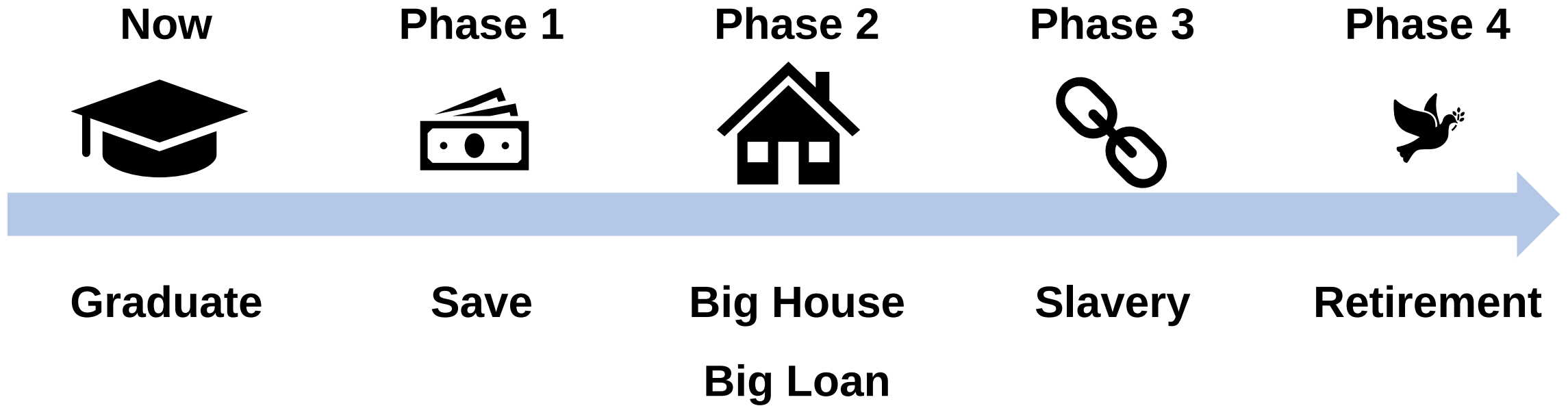
**... using appropriate investment products**

**... invested in appropriate strategic asset allocation**

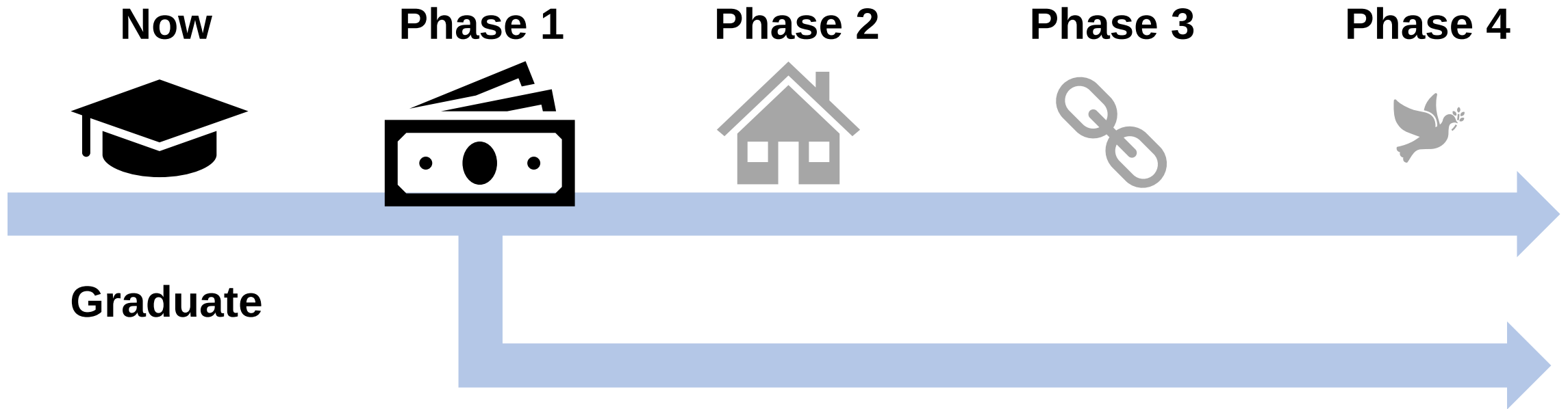
**... with appropriate levels of financial leverage**

**... for each life stage**

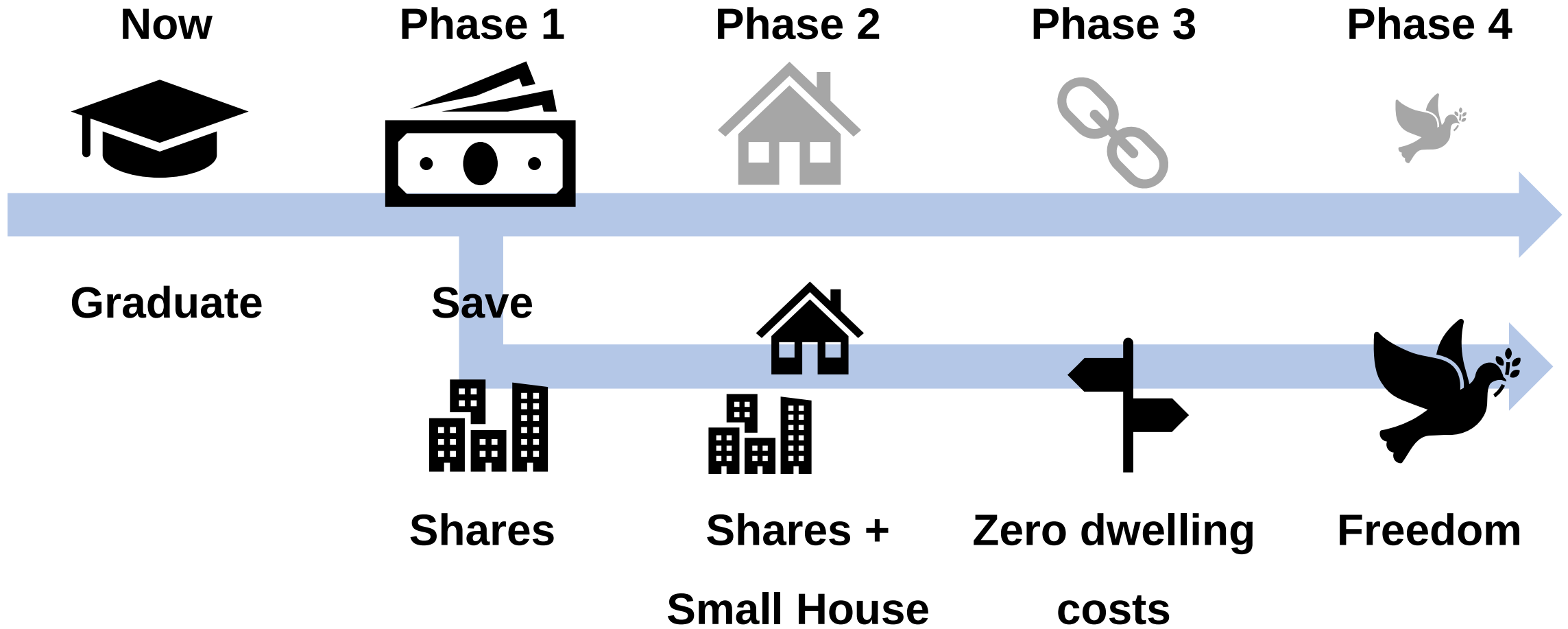
# This is what most people do ...



# Is there another way?



# An advanced alternative strategy example



# Key assumptions

1. High level of financial literacy and 'growing' experience
2. You plan to buy a property
3. You are willing and able to borrow to buy that property
4. You have parents who are willing to be guarantors on your first property
5. You can go for extreme saving in the short-term (somehow)
6. You would like to diversify across property and shares
7. You are willing to borrow to invest in shares
8. You are aiming for financial independence after age 60 using super

# **General Advice Warning (reminder)**

**This strategy is not advice for you**

The “you” in the following slides is just referring to a hypothetical person

**It is for teaching and illustrative purposes only**

**It does not take into account your objectives, situation or needs**

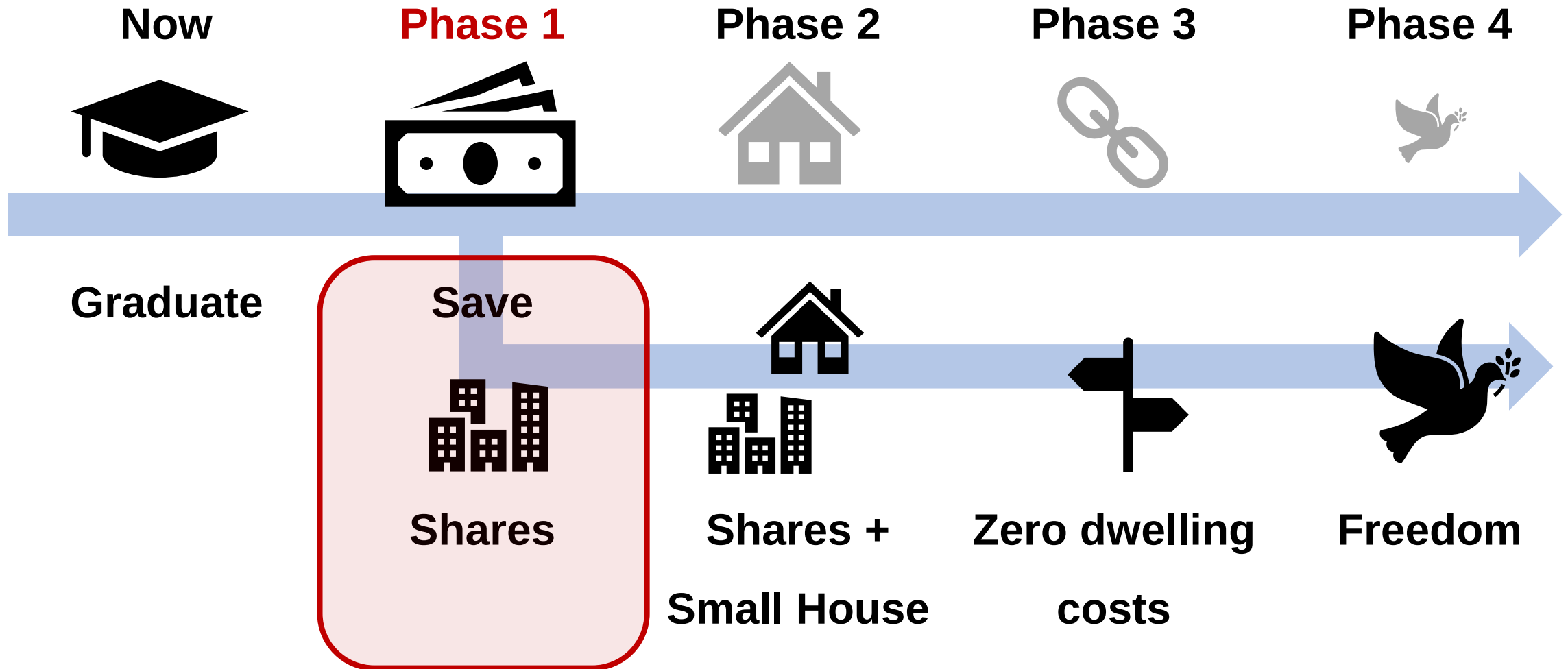
**You are responsible to consider whether it is suitable**

**... for you and your personal circumstances**

**You should consider obtaining financial and tax advice yourself**



# An advanced alternative strategy example



# Phase 1a: Extreme Saving

- 1. Obtain a graduate position earning a basic full-time salary**
- 2. Radical surgery to cut living expenses so you can save 70%**  
Move back home with parents or live in cheap shared home, don't buy a car, don't buy meals
- 3. Build minimum of \$5,000 cash buffer in transaction account**
- 4. Build minimum of \$10,000 financial slack in savings**
- 5. Save an additional \$10,000 and invest into ETF that tracks ASX200**  
You can use a regular stock broker for this
- 6. Regularly invest additional savings into ETF keeping records**  
Probably best to do this in \$5,000 increments to minimise transaction fees

**Objective is to build up \$20,000 in your ETF**

# **Phase 1b: Add Financial Leverage**

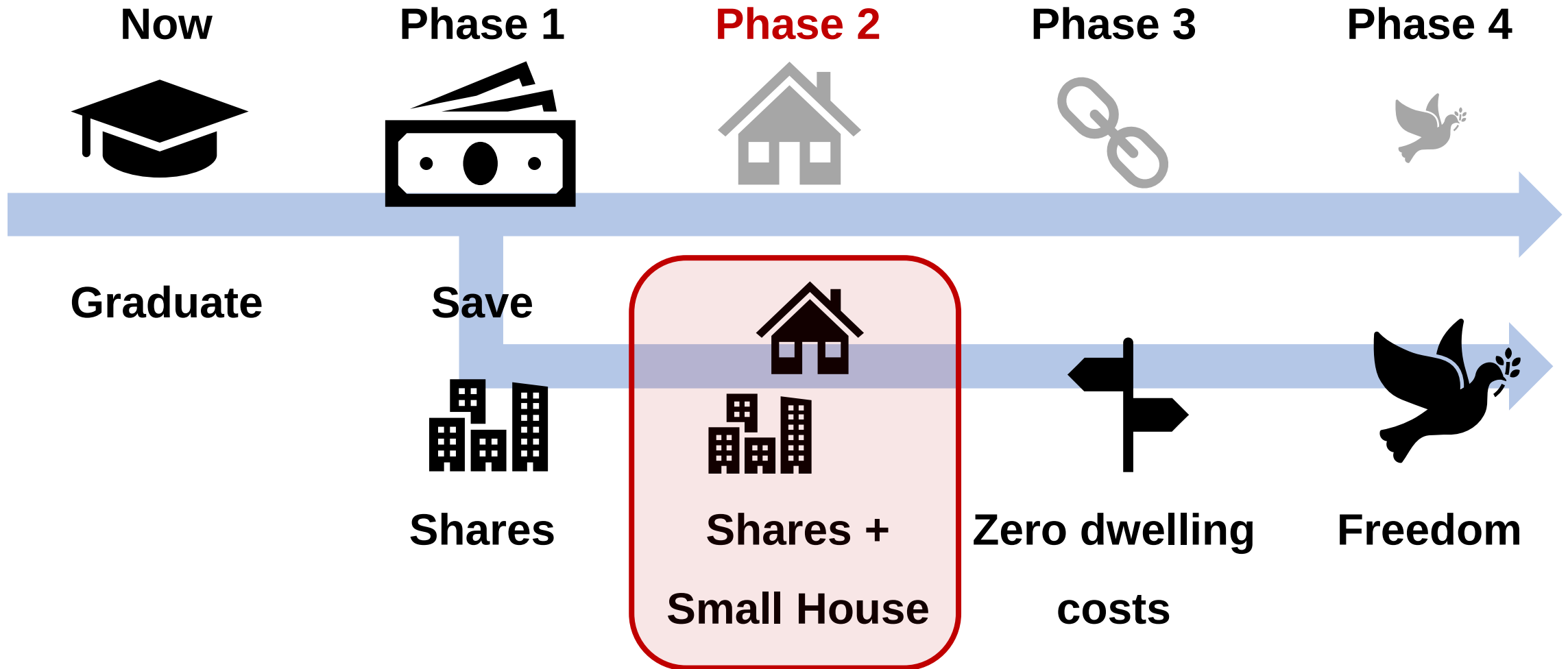
**Once you have \$20,000 saved in your ETF ...**

- 1. Add a margin loan to your share trading account**
- 2. Borrow \$10,000 using margin loan and invest in ETF (LVR is 33%)**
- 3. Capitalise the interest**
- 4. Continue saving additional funds into ETF**
- 5. With time and experience, adjust LVR up to 40%**

**Objective is to build ETF to \$100,000**

With a margin loan of \$40,000 so your equity is \$60,000

# An advanced alternative strategy example



# Phase 2a: Buy First Property

**Once you built your ETF to \$100,000** (\$60,000 in equity, \$40,000 margin loan, 40% LVR)

- 1. Apply for \$500,000 home loan with parent security guarantee**
- 2. Buy older non-trendy 2 bedroom apartment for \$500,000**
- 3. Rent out second room to a border on a 'non-commercial basis'**

| Cash flow                             | \$ per year |
|---------------------------------------|-------------|
| Home loan                             | – 30,000    |
| Rent out room                         | + 10,000    |
| Distributions from ETF (5%)           | + 5,000     |
| Interest on margin loan (capitalised) | 0           |
| Net cash flow                         | – 15,000    |

# Phase 2b: Build Share Portfolio

1. Only pay the minimum monthly payments on home loan
2. Continue to add savings to your ETF investment

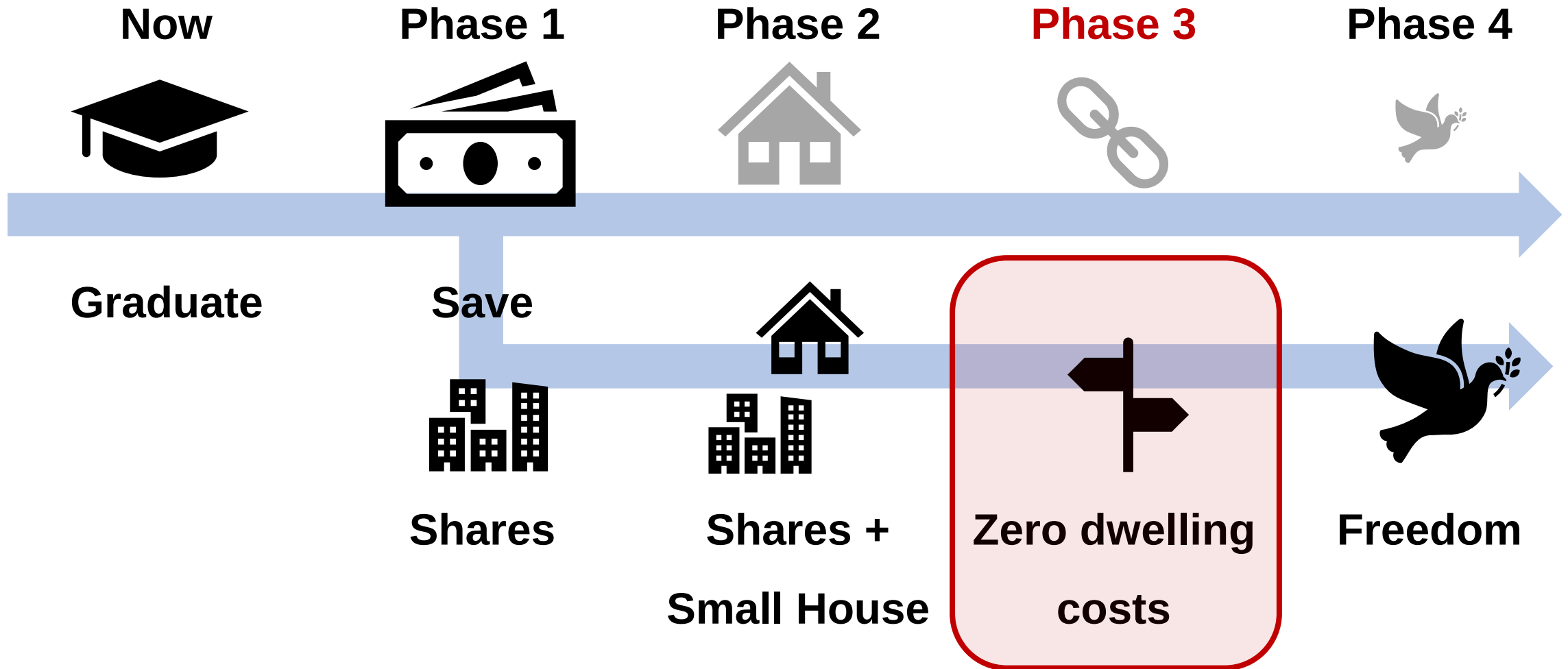
We are diversifying between property and shares and building investment cash flow

**Objective is to build ETF to \$300,000 and have zero dwelling cost**

With a margin loan of \$120,000 so your equity is \$180,000

| Cash flow                             | \$ per year |
|---------------------------------------|-------------|
| Home loan                             | – 30,000    |
| Gradually increase rent on room       | + 15,000    |
| Distributions from ETF (5%)           | + 15,000    |
| Interest on margin loan (capitalised) | 0           |
| Net cash flow                         | 0           |

# An advanced alternative strategy example



# **Phase 3: Zero dwelling costs**

**We now have no 'net' home loan payments**

**Our salary has increased at work due to hard work and promotions**

**We have kept expenses under control and can save 30% or more of income**

**Your friends are all drowning in home loan payments and fixed expenses**

**You have a lot of good alternatives!**



# **Phase 3a: Aggressively pay down home loan**

**If you are happy living in your 2 bedroom apartment ...**

**Aggressively pay down home loan to cut home loan repayments**

**Salary sacrifice into superannuation to build financial independence**

**Consider obtaining an 'investment loan' against property  
to reduce your margin loan to zero and lower interest expenses**

# **Phase 3b: Aggressively build share portfolio**

**If you are happy living in your 2 bedroom apartment ...**

**Continue building share portfolio to build investment income**

**Salary sacrifice into superannuation to build financial independence**

**Consider obtaining an 'investment loan' against property  
to reduce your margin loan to zero and lower interest expenses**

# **Phase 3c: Enjoy life**

**If you are happy living in your 2 bedroom apartment ...**

**Enjoy life a bit by:**

- 1. Taking a year off work and travelling (renting out home)**
- 2. Cut down in work hours to have a baby and raise a child**
- 3. Buy the sports car of your dreams**
- 4. Pursue other hobbies and interests**
- 5. Come back to UNSW and study an MBA full-time!**

# **Phase 3d: Upgrade your home**

**If you now have a baby and 2 bedroom apartment is killing you ...**

- 1. Keep 2 bedroom apartment but rent it as investment property**
- 2. Buy an older townhouse or house**
- 3. Use both properties as collateral to borrow for second property**  
This means you can borrow 100% of new property with no LMI and without selling shares
- 4. Maximise loan on investment property to maximise tax deductions**
- 5. Use savings to continue to build share portfolio**  
... or reduce non-tax deductible loan on primary residence

# Phase 3 ...

These are not 'mutually exclusive'

... which means you can mix and match them

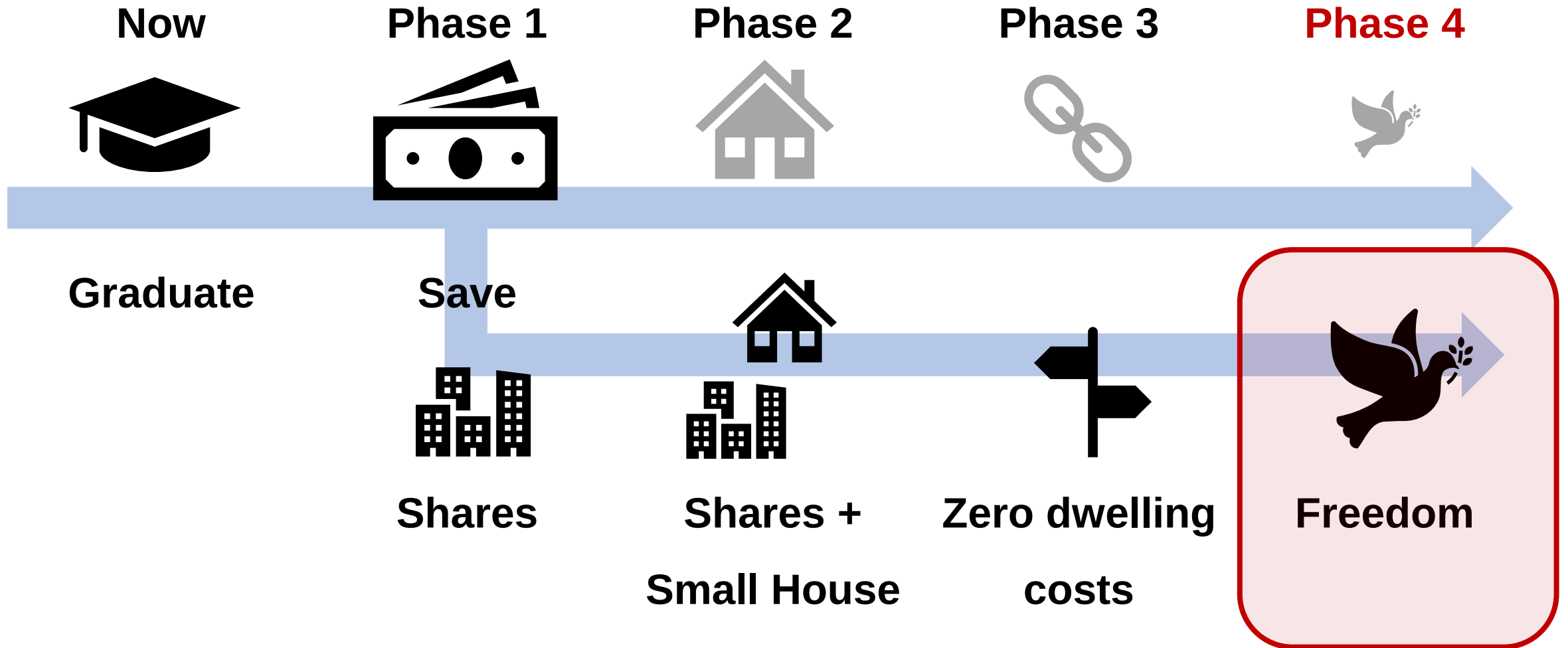
They are not 'collectively exhaustive'

... which means there are a lot of other alternatives

Your friends are all drowning in home loan payments and fixed expenses

You have a lot of good alternatives!

# An advanced alternative strategy example



# Phase 4: Freedom

**Achieve financial independence primarily using super**

**1. Salary sacrifice into super**

Up to the concessional contributions cap of \$27,500 per year per person

**2. Gradually move investments into super as you approach retirement**

Up to non-concessional contribution cap of \$110,000 per year per person

Up to transfer balance cap of \$1.7 million per person

Try to 'equalise' superannuation with your spouse to avoid breaching transfer balance cap

**3. Create a TTR pension at age 60**

If you are still working, continue salary sacrificing up to concessional contribution cap

**4. Move TTR into account based pension when you permanently retire**

Enjoy tax-free income payments from pension and tax-free investment returns

# Variations on FIRE

## 1. Fat FIRE

More traditional lifestyle who saves more than the average retirement investor

## 2. Lean FIRE

Minimalist living and extreme savings with a far more restricted lifestyle

## 3. Barista FIRE

Work casual job to cover some living expenses (so they don't erode investments too much)

## 4. Coast FIRE

Work part-time job but have enough saved to fund their current living expenses

Steven Kurutz (2018), 'How to Retire in Your 30s With \$1 Million in the Bank', *The New York Times*.

Alexandra Kerr (2020), 'Financial Independence, Retire Early (FIRE)' on Investopedia (website)



# Phase 4: Freedom a bit earlier (FIRE)

## 1. Live a content and frugal life (Lean or Barista FIRE)

- ... keeping living expenses low to achieve financial independence early
- ... continue working until superannuation becomes available (age 60)

## 2. Build a large investment property portfolio (Fat or Coast FIRE)

- ... with a 'passive income' from the positive cash flow (rent)
- ... continue working only for the satisfaction of the work

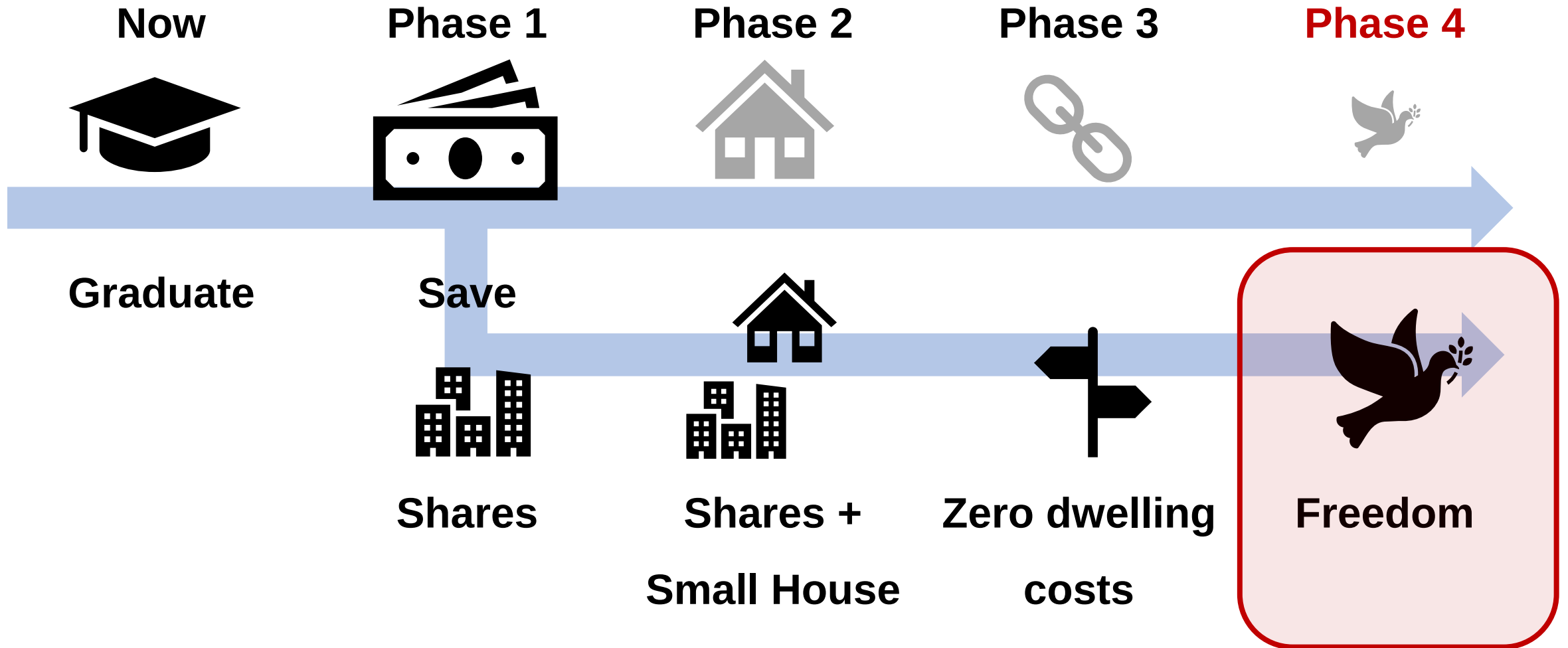
## 3. Build a large share portfolio (Fat or Coast FIRE)

- ... with a 'passive income' from the positive cash flow (dividends)
- ... continue working only for the satisfaction of the work

## 4. Build a profitable business (Fat or Coast FIRE)

- ... and sell it to someone else for capital gains
- ... continue working only for the satisfaction of the work

# An advanced alternative strategy example



# **Your Financial Plan**

**This is a generic strategy ... which probably doesn't suit you**

**There are many different alternatives**

**... they are like 'branches' in your life tree**

**Consider your own situation, needs and goals**

**... customise this strategy and make it your own**

**... seek advice when needed from an experienced mentor or adviser**

**Then implement it and review it from time-to-time!**

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